SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 10
JUDICIAL OFFICER: JULIA CAMPINS
HEARING DATE: 03/26/2026

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties email or call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of their decision to appear and of the issues to be argued**.** Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (*Local Rule* 3.43(2).)

Note: In order to minimize the risk of miscommunication, parties are to provide an **EMAIL NOTIFICATION TO THE DEPARTMENT OF THE REQUEST TO ARGUE AND SPECIFICATION OF ISSUES TO BE ARGUED**. Dept. 10's email address is: dept10@contracosta.courts.ca.gov. Warning: this email address is not to be used for any communication with the department except as expressly and specifically authorized by the court. Any emails received in contravention of this order will be disregarded by the court and may subject the offending party to sanctions.

Submission of Orders After Hearing in Department 10 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Law & Motion

1. 9:00 AM CASE NUMBER: C22-02133
CASE NAME: FLETCHER TYLER VS. JAMES HARO
***HEARING ON MOTION IN RE: FOR AWARD OF COSTS AND EXPERT FEES AS PREVAILING PARTIES**
FILED BY: TYLER, FLETCHER WILLIAM
****TENTATIVE RULING:****

After judgment was entered in this case, Plaintiffs Fletcher Tyler et al. filed a Motion for Award of Costs and Expert Fees as Prevailing Parties. Defendant Doris Haro filed an opposition and Plaintiff filed a reply. For the reasons stated below, Plaintiff's motion is **granted**.

Since judgment was entered in this case, one of the Defendants, James Haro, passed away. The only remaining Defendant is Doris Haro. On May 8, 2025, Plaintiffs conveyed an offer pursuant to Code of Civil Procedure section 998 for $298,000. Defendant Haro never responded, which acted as a rejection of the offer. At trial, Plaintiffs were awarded $335,000 jointly and severally against James Haro and Doris Haro. Plaintiffs request costs as a prevailing party pursuant to Code of Civil Procedure sections 1032 and 1033.5, and their post-offer expert fees pursuant to section 997.

Expert Fees

Pursuant to Code of Civil Procedure section 998(d), "If an offer made by a plaintiff is not accepted and the defendant fails to obtain a more favorable judgment or award in any action . . ., the court . . ., in its discretion, may require the defendant to pay a reasonable sum to cover postoffer costs of the services of expert witnesses, who are not regular employees of any party, actually incurred and reasonably necessary in . . . trial . . . , or during trial . . ., of the case by the plaintiff, in addition to plaintiff's costs." Defendant argues that it is not clear that Plaintiffs obtained a "more favorable judgment" because the offer was made to Doris Haro individually and the judgment was joint and severally against her and James Haro. While Plaintiffs pretend not to understand this argument, it is clear to the Court that Ms. Haro is arguing that joint and several liability is complex enough as to make it not clear that $335,000 jointly and severally against her and her since-deceased husband is greater than $298,000 against her alone. What is *not* clear to the Court is whether there any support for Defendant's argument. No cases were cited, and the common sense conclusion of a joint and several liability is that Ms. Haro is responsible for the whole amount. There was a moment in time when it was possible that she would have to share this liability with her husband, but given that they were married until his death, the Court is unaware any scenario where she would end off better than what was proposed by the section 998 offer.

Plaintiffs seek expert fees in the amount of $1,900. Defendant first argues that Plaintiffs failed to prove that the fees were incurred after the section 998 offer. While Exhibit 2 of the Gerald Beaudoin declaration does include an invoice with a lump-sum charge, the declaration itself notes that the expert did not begin work until "late May of 2025." This is sufficient evidence that the work post-dated the offer.

Defendant next argues that, because the expert's work addressed appraisal and valuation of the property, and the "core issue in this litigation was the legitimacy of an assignment of a deed of trust for the Montgomery Property," the expert's work was not "reasonably necessary." Although the Court would have expected a more substantive response to this argument Plaintiffs are correct that when a statute allows a category of recoverable costs, "the burden is on the objecting party to show them to be unnecessary or unreasonable." (*Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131.) The Court finds that the burden has not been met.

Costs as a Prevailing Party

Plaintiffs additionally seek deposition, transcript, service of process, subpoena, and efiling costs. All of these costs are supported in the Declaration of Gerald Deaudoin and, contrary to Defendant's arguments, contain specificity as to time and nature in the bills themselves. The Court is confused as to the argument that there was no support that the depositions were necessary, given in particular that one of the depositions was of Defendant Haro herself. All costs in the application will be awarded.

Ruling

For the reasons set forth above and in Plaintiffs' moving papers, the requested costs will be awarded.

2. 9:00 AM CASE NUMBER: C24-01788
CASE NAME: HICHAM MESNAOUI VS. LAKERIDGE ATHLETIC CLUB
HEARING ON SUMMARY MOTION JUDGEMENT
FILED BY:
TENTATIVE RULING:*

Before the Court is a motion for summary judgment, or in the alternative, for summary adjudication filed by defendants Lakeridge Athletic Club and William Worthington. For the reasons set forth, the Court rules as follows: (a) motion for summary judgment – **denied**; (b) motion for summary adjudication of Issues 1 and 2 – **granted**; and (c) motion for summary adjudication of Issue 3 – **denied**.

Background

Plaintiff Hicham Mesnaoui alleges on July 6, 2023, he was injured by defendant Adam Morgenthaler during a judo class Mesnaoui and Morgenthaler were participating in at the Lakeridge Athletic Club. (Compl. ¶ 6.) He alleges that after Morgenthaler injured him, the instructor defendant William Worthington, erroneously named "Billy Vidal" in the complaint, was a staff member of Lakeridge and caused him more injury. (Compl. ¶ 6.)

Plaintiff sued Lakeridge, Morgenthaler, and Worthington for premises liability, and Lakeridge alone for negligence. Plaintiff subsequently settled with defendant Morganthaler for $30,000, and on motion, Morganthaler obtained a good faith determination regarding that settlement under Code of Civil Procedure section 877.6. Lakeridge and Worthington (for convenience, collectively sometimes referred to as the "Lakeridge Defendants") have filed a motion for summary judgment, or alternatively, summary adjudication. Plaintiff opposes the motion.

Legal Standards for Ruling on Defendants' Motion

Under Code of Civil Procedure section 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) When a defendant moves for summary judgment, the defendant bears the burden of producing evidence that plaintiff cannot prove one or more essential elements of plaintiff's claim or that there is a complete defense to the claim. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c(p)(2).) Once the defendant meets this initial burden, the burden shifts to the plaintiff to produce admissible evidence showing that a triable issue of fact exists. (*Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA* (2016) 6 Cal.App.5th 443, 453; Code Civ. Proc. § 437c(p)(2).)

Motions for summary adjudication under Code of Civil Procedure section 437c(f)(1) "are 'procedurally identical' to summary judgment motions.' [Citation.]" (*Duffey v. Tender Heart Home Care Agency, LLC* (2019) 31 Cal.App.5th 232, 240-241.) A motion for summary adjudication under Code of Civil Procedure section 437c(f)(1) can only be granted "if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc. § 437c(f)(1).) (*See also*

Nazir v. United Airlines, Inc. (2009) 178 Cal.App.4th 243, 251.)

The issues to be considered on a motion for summary judgment or summary adjudication are defined by the pleadings. (*Anderson v. Fitness Internat., Inc.* (2016) 4 Cal.App.5th 867, 876; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 161 ["The complaint measures the materiality of the facts tendered in a defendant's challenge to the plaintiff's cause of action."].) The Court may not weigh the evidence but must view it "in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864.) Declarations and other evidence offered in support of a motion for summary judgment are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20; *Johnson v. American Standard* (2008) 43 Cal.4th 56, 64.)

" '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . .' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180; *Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1497.) "All doubts as to the propriety of granting the motion—i.e., whether there is any triable issue of material fact—are to be resolved in favor of the party opposing the motion." (*Cohen, supra,* 159 Cal.App.4th at 1483.)

Analysis

As to defendant Worthington, Plaintiff alleges only premises liability (1st C/A) and alleges that after Morganthaler injured Plaintiff's foot during the judo class, Worthington injured Plaintiff's foot more. (Compl. ¶¶ 6, 7.) Plaintiff makes the same allegation against both Worthington and Lakeridge that they "negligently caused, permitted, constructed, managed and maintained, inspected, supervised, etc., said premises, and failed to act on the knowledge of the confrontation occurring outside their establishment involving their employees and patrons. This knowledge created a reasonably foreseeable risk of the kind of injury that Plaintiff suffered. Defendants had actual and/or constructive notice of the existence of the dangerous circumstances and knew or should have known of the potential for a dangerous outcome." (Compl. ¶ 7 [emphasis added].)

In his second cause of action for negligence, alleged only against Lakeridge, Plaintiff alleges Lakeridge owned or operated the premises located at 6350 San Pablo Dam Road in El Sobrante, presumably where the club is located, and that Lakeridge "negligently monitored, maintained, controlled and/or operated the property at the subject premises, such that it was an unsafe, dangerous and a hazardous condition. [¶] Defendant failed to protect Plaintiff, and moreover caused, permitted a dangerous and hazardous situation to arise when its staff member defendant [Worthington] injured plaintiff further during a routine Judo drill. In fact, on or about July 6, 2023, as a direct result of the Defendants' failure to protect Plaintiff against such foreseeable harm, Plaintiff experienced five different breaks in his foot which required surgeries and pins." (Compl. ¶¶ 10, 11 [emphasis added].)

A. Legal Framework of Plaintiff's Claims

The elements of both negligence and premises liability are "a legal duty of care, breach of that duty, and proximate cause resulting in injury." (*Kesner v. Superior Court* (2016) 1 Cal.5th 1132, 1158.) Generally, the breach and causation elements of the claims are "fact-specific issues for the trier of fact," while "the existence and scope of a duty are questions of law." (*Staats v. Vintner's Golf Club, LLC*

(2018) 25 Cal. App. 5th 826, 832.) (*See also Hernandez v. Jensen* (2021) 61 Cal. App. 5th 1056, 1064.)

1. Premises Liability

"Premises liability . . . '[] is grounded in the possession of the premises and the attendant right to control and manage the premises[]'; accordingly, '[]mere possession with its attendant right to control conditions on the premises is a sufficient basis for the imposition of an affirmative duty to act.[]' [Citations, internal quotation marks omitted.]" (*Kesner, supra,* 1 Cal.5th at 1158.) (*See also Brooks v. Eugene Burger Management Corp.* (1989) 215 Cal. App. 3d 1611, 1619 ["The owner of premises is under a duty to exercise ordinary care in the management of such premises in order to avoid exposing persons to an unreasonable risk of harm. A failure to fulfill this duty is negligence. [Citation omitted.]"]; *Jones v. Awad* (2019) 39 Cal. App. 5th 1200, 1207 ["California law requires landowners to maintain land in their possession and control in a reasonably safe condition. [Citation omitted.] Consequently, landowners are liable for injuries caused by a lack of due care in the maintenance of their property. [Citation omitted.]"].)

In the context of a store, the Court in *Ortega v. Kmart Corp*. (2001) 26 Cal.4th 1200 explained, "Because the owner is not the insurer of the visitor's personal safety [citation omitted], the owner's actual or constructive knowledge of the dangerous condition is a key to establishing its liability. Although the owner's lack of knowledge is not a defense, '[t]o impose liability for injuries suffered by an invitee due to [a] defective condition of the premises, the owner or occupier "must have either actual or constructive knowledge of the dangerous condition or have been able by the exercise of ordinary care to discover the condition, which if known to him, he should realize as involving an unreasonable risk to invitees on his premises. . . ." ' [Citation omitted.] [¶] Courts have also held that where the plaintiff relies on the failure to correct a dangerous condition to prove the owner's negligence, the plaintiff has the burden of showing that the owner had notice of the defect in sufficient time to correct it. [Citation omitted.]" (*Id.* at 1206 [emphasis added].)

2. Assumption of the Risk Doctrine in Relation to Sports

Knight v. Jewett (1992) 3 Cal.4th 296 addressed the primary assumption of the risk doctrine in sports activities, holding that "it is improper to hold a sports participant liable to a coparticipant for ordinary careless conduct committed during the sport." (*Id.* at 318.) *Bushnell v. Japanese-American Religious and Cultural Center* (1996) 43 Cal.App.4th 525 explained that the "full scope of the primary assumption of the risk has yet to be established," but that the doctrine looks at the "nature of the activity, the relationship of the defendant to the activity and the relationship of the defendant to the plaintiff. (*Id*. at 530.)

In evaluating the application of the primary assumption of the risk doctrine, "It must then be determined . . . whether the defendant's conduct at issue is an 'inherent risk' of the activity such that liability does not attach as a matter of law. General rules of liability attach when the defendant's conduct is not an inherent risk of the activity or when the defendant's conduct increased the inherent risks of the activity." (*Id*. at 530.) *Bushnell*'s cited examples in the case law regarding the application of the doctrine include, for example, that a ski resort does not have a duty to eliminate moguls on a ski slope, since moguls are part of the challenge of the sport, but it has a duty to ensure its towropes are maintained in a safe working condition, and a baseball player does not have to exercise caution in throwing a bat but the stadium may have a duty to take precautions to protect a spectator from bats being thrown. (*Id.*) Summarizing prior case law, *Bushnell* explained that "the party who controls the activity (such as the ski resort operator or the owner of a baseball stadium) may have a duty to provide a safe environment such that the activity can be performed without unnecessary risk." (*Id.* at 533 [emphasis added].) *Bushnell* held the primary assumption of the risk doctrine applied to a student and instructor in a judo class. (*Id.*)

3. Exculpatory Clauses and Release and Waiver of Claims

Parties may contract for release or waiver of future negligence liability. (*Benedek v. PLC Santa Monica* (2002) 104 Cal.App.4th 1351, 1356.) Exculpation clauses are enforceable "so long as such contracts do not violate public policy. [Citations omitted.]" (*Anderson, supra,* 4 Cal.App.5th at 877.) (*See also* Civ. Code § 1668.) " 'A valid release precludes liability for risks of injury within the scope of the release.' " (*Anderson, supra,* 4 Cal.App.5th at 877 [quoting *Gebring v. 24 Hour Fitness USA, Inc.* (2015) 234 Cal.App.4th 631, 637.)

The California Supreme Court has held that exculpatory agreements releasing or waiving claims in the context of recreational activities or programs are enforceable to the extent they release liability for future claims for negligence, but not for "gross negligence," which would violate public policy. (*City of Santa Barbara v. Superior Court* (2007) 41 Cal.4th 747, 750-751, 776.) (*See also Lund v. Bally's Aerobic Plus, Inc.* (2000) 78 Cal.App.4th 733, 739.) Whether a release bars recovery against a negligent party "turns primarily on contractual interpretation, and it is the intent of the parties as expressed in the agreement that should control." (*Sanchez v. Bally's Total Fitness Corp.* (1998) 68 Cal.App.4th 62, 66.) To be effective, a release must be clear, unambiguous and explicit in expressing the intent of the subscribing parties. (*Id.*)

Nevertheless, "in cases involving a waiver of liability for future negligence, courts have held that conduct that substantially or unreasonably increased the inherent risk of an activity or actively concealed a known risk could amount to gross negligence, which would not be barred by a release agreement." (*Anderson, supra*, 4 Cal.App.5th at 881.)

B. Undisputed Material Facts and Facts Plaintiff Asserts Are Disputed

Defendants' Separate Statement ("SS") of Undisputed Material Facts ("UMFs") list 19 UMFs to support summary judgment and repeat those same 19 facts, renumbered, in support of each of the three issues for which they alternatively move for summary adjudication. (*See* Defs. SS Issue 1 [1st C/A against Worthington, UMF Nos. 20-38 corresponding to UMF 1-19], Issue 2 [1st C/A against Lakeridge, UMF Nos. 39-57 corresponding to UMF Nos. 1-19], and Issue 3 [2nd C/A against Lakeridge, UMF Nos. 58-77 corresponding to UMF Nos. 1-19].) Plaintiff filed a Response to the SS which responds to Defendants' UMFs. Plaintiff has not offered any additional material facts in his Response to the SS. The Court refers to UMF Nos. 1-19, but the Court's comments on the disputed and undisputed facts apply with equal force to the corresponding UMFs related to Issues 1-3 in support of the alternative motion for summary adjudication.

Plaintiff lists eight of the UMFs as unequivocally "undisputed." (Resp. to UMF 2, 3, 6, 8, 10, 11, 16, 17.) There is no dispute Plaintiff participated in a judo class at the Lakeridge Athletic Club on the date of the incident (July 6, 2023), that there were three judo instructors, including Worthington, present at the class and approximately 6 to 7 students, and that this was Plaintiff's first judo class and the class was considered a beginner level class. (UMF 2, 3, 6.) Plaintiff does not dispute that during class, the instructors explain the drill, demonstrate, and then coach the participants, that in the exercise in which he was injured, the participants were practicing a technique for grabbing an opponent's shoulder, and that 15 seconds into the exercise Plaintiff stated he thought he broke his foot. (UMF 8, 10, 11.) Plaintiff sought medical care for his injury the next day, and he alleges claims for premises liability against Worthington and Lakeridge and negligence against Lakeridge. (UMF 16, 17.)

Plaintiff identifies other UMFs as undisputed but then attempts to qualify his admission or partially dispute the fact. In Response to UMF 1, Plaintiff admits he signed the club membership agreement with Lakeridge. The UMF indicates, with supporting evidence, that the membership agreement includes a Waiver of Claims provision. Plaintiff contends UMF 1 is partially disputed because he asserts he did not sign a separate agreement related to the judo class or he did not read or understand the Release and Waiver release provision, none of which genuinely disputes the fact stated in UMF 1. The Court will consider Plaintiff's additional facts and evidence in assessing whether those additional facts raise a triable issue of material fact. (Cal. R. Ct., Rule 3.1350(f)(3).)

Similarly, UMF 5 lists Worthington's judo credentials, which Plaintiff explicitly does not dispute. In response to UMF 5, Plaintiff "disputes" that Worthington has any medical training, but UMF does not address Worthington's medical training or lack of medical training or qualification in medicine or fractures. Plaintiff does not genuinely dispute the fact stated in UMF 5, but Plaintiff has raised additional facts supported by cited evidence the Court will consider as additional facts Plaintiff contends are material and raise a triable issue. (*Id.*)

UMF 7 states Plaintiff has a black belt in a different Japanese martial art (Aikado), which Plaintiff does not dispute. Plaintiff adds facts or argument regarding the Aikado being a "different discipline," but the fact is unsupported by citation to any evidence as required. (Code Civ. Proc. § 437c(b)(3) [regarding the opposition separate statement, "Each material fact contended by the opposing party to be disputed shall be followed by a reference to the supporting evidence. Failure to comply with this requirement of a separate statement may constitute a sufficient ground, in the court’s discretion, for granting the motion."]; Cal. R. Ct., Rule 3.1350(f)(2) ["An opposing party who contends that a fact is disputed must state, on the right side of the page directly opposite the fact in dispute, the nature of the dispute and describe the evidence that supports the position that the fact is controverted. Citation to the evidence in support of the position that a fact is controverted must include reference to the exhibit, title, page, and line numbers."], and Cal. R. Ct., Rule 3.1350(f)(3) [regarding any additional facts the opposing party raises in the separate statement, "Each fact must be followed by the evidence that establishes the fact. Citation to the evidence in support of each material fact must include reference to the exhibit, title, page, and line numbers."].)

UMF 14 states that Plaintiff alleges Worthington applied pressure to the bump on top of Plaintiff's foot causing more injury. Plaintiff does not dispute that he makes this allegation. Plaintiff's Response also includes the additional fact that he has evidence to support that Worthington manipulated his foot. While UMF 14 is not genuinely disputed, the Court will consider Plaintiff's additional fact and evidence in assessing whether Plaintiff raises a triable issue material to the disposition of his claims. (Cal. R. Ct., Rule 3.1350(f)(3).)

Plaintiff admits as undisputed that he did not hear bones cracking when Worthington pushed on his foot in response to UMF 15. Plaintiff adds facts regarding increased swelling and pain after

Worthington's manipulation of the foot as part of the response. The fact stated in UMF 15 is not disputed by those facts or evidence, but the Court will consider Plaintiff's additional facts and evidence in assessing whether those additional facts raise a triable issue of material fact. (*Id.*)

UMF 18 states Worthington "did not own, lease, occupy, or control" the property where the judo class was held, to which Plaintiff only states his lack of ownership is "undisputed." (Resp. to UMF 18.) Plaintiff then makes legal arguments that Lakeridge and Worthington are nevertheless liable for Plaintiff's injury based on Lakeridge's asserted retained control and Worthington's "post-injury conduct . . . create[ing] independent liability grounds not dependent on premises control," without citation to any evidence in support of Plaintiff's dispute. (Resp. to UMF 18 [emphasis added].) (Code Civ. Proc. § 437c(b)(3); Cal. R. Ct., Rule 3.1350(f)(2) and (f)(3).)

UMF 19 states that there were no prior incidents or reported injuries from the judo classes at Lakeridge. The response to this UMF does not respond to the fact stated but merely repeats Plaintiff's response to UMF 18. (*See also* Resp.to UMF 38, 57, 77.) The Court deems this UMF undisputed as a result. (Code Civ. Proc. § 437c(b)(3); Cal. R. Ct., Rule 3.1350(f)(2) and (f)(3).)

Plaintiff disputes UMF 4 that Worthington was an independent contractor of Lakeridge. To support the dispute, Plaintiff cites: (1) a statement from Morganthaler's declaration that Worthington was the instructor for the class; (2) a statement by Worthington in his declaration filed in support of the motion that Worthington's co-instructor "Lance" "arranged" to have the judo classes at Lakeridge, a statement that is preceded by the first sentence of the paragraph that Worthington is an instructor at Lakeridge as a "1099 independent contractor." (Worthington Decl. ¶ 4, cited in part at Resp. to UMF 4.) For the reasons explained further below, Plaintiff's evidence does not raise a genuine dispute of material fact regarding Worthington's status as an independent contractor.

UMF 9 states Plaintiff "alleges" his foot was injured during an exercise with Morganthaler, a co-participant, which Plaintiff concedes is undisputed. In response, Plaintiff asserts that his foot was also injured by Worthington's subsequent manipulation of or pressing on his foot. Plaintiff cannot rely on his own interrogatory response as evidence to raise a triable issue on a summary judgment motion. (Code Civ. Proc. § 20230.410 ["At the trial or any other hearing in the action, so far as admissible under the rules of evidence, the propounding party or any party other than the responding party may use any answer or part of an answer to an interrogatory only against the responding party." (Emphasis added.); *Bayramoglu v. Nationstar Mortgage LLC* (2020) 51 Cal.App.5th 726, 740; *Great American Insurance Companies v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450.) Plaintiff cites other evidence to support that he contends his injury was not caused "solely" by his grappling with Morganthaler, consistent with his allegations in the complaint. (Compl. ¶¶ 6, 7.) The Court will consider Plaintiff's additional fact and evidence in assessing whether Plaintiff raises a triable issue material to the disposition of his claims. (Cal. R. Ct., Rule 3.1350(f)(3).)

UMF 12 states that the protrusion in Plaintiff's foot went down when he moved toward the couch. Though Plaintiff lists the fact stated as "disputed," his Response to UMF 12 in fact admits the specific fact stated in the UMF: "Plaintiff testified the protrusion went down when he moved to the couch." (Resp. to UMF 12; Pl. Exh. B [Mesnaoui DT 39:9-17].) The fact that Worthington manipulated the foot after that and that the manipulation (to which Plaintiff testified he consented) may have compressed his foot after Plaintiff had reached the couch are additional facts that do not dispute the fact stated in

UMF 12, but the Court will consider whether the additional facts are material and raise a triable issue. (Cal. R. Ct., Rule 3.1350(f)(3).)

UMF 13 states there was a "small" bump on the top of Plaintiff's foot. Plaintiff lists this UMF as disputed based on the use of the word "small" in the UMF. (Resp. to UMF 13.) The characterization of the bump as "small" or not is not a material dispute regarding the material fact that there was a bump or protrusion on the top of Plaintiff's foot which is conceded by the evidence cited in support of Plaintiff's Response. The Mesnaoui DT cited in the Response to UMF 13 does not describe the size of the bump. The Adam Morganthaler "Statement" not under oath estimates the bump at 1/2 to 3/4 of a centimeter, but at his deposition, he testified it was 1/2 centimeter, as indicated in the portions of those documents cited in the Response to UMF 13. The Quinn Morganthaler "Statement" not under oath does not estimate a size and only refers to the bump as "a sharp height on top of his foot," which was not protruding up when Mesnaoui was on the couch. (Resp. to UMF 13 [citing Pl. Exh. F].) There is no material dispute as to this fact either.

C. <u>Lack of Causation Not Presented to Allow Summary Judgment/Summary Adjudication on That Ground</u>

Notably absent from the UMFs in support of the motion is any UMF that states that Worthington did not injure Plaintiff's foot or injure Plaintiff's foot <u>more</u> after the initial injury from his grappling with Morganthaler, or that nothing Worthington did caused injury to Plaintiff's foot or exacerbated Plaintiff's foot injury. There is no UMF addressing lack of causation of any injury to Plaintiff by Worthington's acts. UMFs 9 (allegation Plaintiff was injured during an exercise), 12 (moving to the couch, protrusion went down), 13 (visible bump), 14 (Worthington put pressure on the foot), and 15 (no audible bones cracking) do not address whether Worthington's putting pressure on Plaintiff's foot, or any other action taken by Worthington, injuring Plaintiff's foot more as alleged in paragraphs 6 and 7 of the complaint. None of these UMFs, or any other UMF, asserts that nothing Worthington did injured Plaintiff. The absence of such a fact from the UMFs means Defendants have not set forth in their SS the facts to negate causation as one of the essential elements of Plaintiff's claims; namely, that Worthington did not make Plaintiff's foot injury worse. (*United Community Church v. Garcin* (1991) 231 Cal.App.3d 327, 337 [stating the "golden rule" of summary judgment and summary adjudication that "if it is not in the separate statement, it does not exist."].)

Even if the Lakeridge Defendants had properly raised lack of causation in their SS, the expert medical opinions on which they rely are largely inadmissible. The Court sustains certain of Plaintiff's evidentiary objections to the Donatto Declaration as set forth below.

D. <u>Defendants Met Their Initial Burden on the Motion</u>

Defendants' UMFs support that Plaintiff's claim of injury as it pertains to the Lakeridge Defendants is for Worthington's post-grappling injury compression or manipulation of Plaintiff's injured foot. Defendants' UMFs also include that Worthington is a 1099 independent contractor conducting a class at the club, that he has no ownership or control over the premises of the club, and that Lakeridge had no notice of any complaints or incidents involving the judo class or Worthington prior to Plaintiff's incident. To the extent Plaintiff's complaint generally alleges negligent supervision, training, or hiring (Compl. ¶ 3), Plaintiff alleges his injury was the result of the "negligence" of the Defendants and alleges no <u>facts</u> sufficient to state that either of the Lakeridge Defendants were grossly negligent

(Compl. ¶¶ 6-8, 10-12). In addition, the Lakeridge Defendants point to the Release and Waiver, Kadlic Exh. A (the "Release and Waiver" for convenience) releasing the Lakeridge Defendants from liability for negligence. They also present a UMF and evidence that Worthington was an independent contractor. This is enough to shift the burden to Plaintiff on both causes of action with regard to defenses to Plaintiff's claims, but not as to lack of causation for the reasons stated above.

E. Direct Liability of Worthington for Premises Liability (Issue 1)

Plaintiff's allegations regarding the negligent injury caused by Worthington are unrelated to any condition of the judo studio or the use of the facilities, but are related instead to Worthington allegedly negligently manipulating Plaintiff's foot after Plaintiff injured it during an exercise in the judo class. Plaintiff makes no argument in his opposition that Worthington is liable for premises liability based on the undisputed facts. (Opp. p. 18, Section E [arguing only that Lakeridge may be liable for "negligent activities and supervision occurring on the premises"].) (*Kesner, supra,* 1 Cal.5th at 1158; *Brooks, supra,* 215 Cal. App. 3d at 1619; *Jones, supra,* 39 Cal. App. 5th at 1207 [all tying premises liability to negligence in condition of premises].)

The fundamental premise of this case is that Worthington acted improperly as a judo instructor in allegedly further injuring Plaintiff's already injured foot that was hurt while grappling in the judo class, an activity that is allegedly outside the ordinary activities of a judo instructor. Even if Worthington—as an instructor in the class—was in control of the premises where the class was held during the time in which the class was conducted, Plaintiff cites no authority that negligence or even gross negligence by the class instructor would provide a basis for holding the instructor liable for premises liability, as opposed to general negligence. Plaintiff also cites no facts that show Worthington breached a duty of care in exercising control over the premises. (*Kesner, supra,* 1 Cal.5th at 1158; *Brooks, supra,* 215 Cal. App. 3d at 1619; *Jones, supra,* 39 Cal. App. 5th at 1207 [all tying premises liability to negligence in condition of premises].) Nothing about the instructor's decision allegedly to administer first aid on Plaintiff's foot after he was injured in the judo class was connected to negligence in his control of the premises.

F. Direct and Indirect Liability of Lakeridge for Premises Liability (Issue 2)

Having concluded that Worthington is not liable for premises liability on the first cause of action, there is no basis to hold Lakeridge indirectly liable. (*See, e.g., Rostai v. Neste Enterprises* (2006) 138 Cal.App.4th 326, 336-337 [having found the personal trainer did not breach a duty of care to the plaintiff in training him at a workout where he had a heart attack, there was no basis to impose vicarious liability on the gym].)

G. Analysis of the Release and Waiver Scope and Coverage

Plaintiff admits he executed the Release and Waiver. The membership agreement is a month-to-month membership that automatically renews each month unless terminated. Plaintiff's additional fact that it was signed 13 months before he did the judo class does not negate that the Release and Waiver were in effect when he participated in the class. Plaintiff argues the judo class "required separate enrollment and fees distinct from the general gym membership," citing Plaintiff's Exhibit A, the Morganthaler DT at page 15:1-4 (Opp. p. 6, ll. 15-17), but that citation does not appear in his Response to the SS and is not highlighted in Exhibit A, nor does Plaintiff cite any authority to support that a separate fee or registration for a class on the Lakeridge club premises means that the Lakeridge

Release and Waiver does not apply. The other evidence offered by Plaintiff in response to UMF 1 similarly does not support that, given the class was being taught at the Lakeridge club, the Lakeridge release did not apply to the judo class. The language of the documents is to the contrary.

Contract principles govern the interpretation of the Release and Waiver, and the issue is one of law. (*Brown v. El Dorado Union School Dist.* (2022) 76 Cal.App.5th 1003, 1023.) The membership agreement in this case states, among other things, that "Member is fully aware of the potential dangers incidental to engaging in the activity and instruction of exercise activities (such as weight lifting, body building, aerobic dancing, <u>and any other exercise activity</u>). In consideration of permitting the member to join this Club <u>or to participate in exercise activity and/or instruction at these premises, the Member agrees to voluntarily assume all liability . . . for any</u> . . . injury . . . suffered by . . . Member arising out of the Member's activities" at Lakeridge." (UMF 1; Kadlic Decl. Exh. A [emphasis added].) The waiver of claims attached to the membership agreement states that Plaintiff's "access to the premises and property and use of the facilities . . . owned or operated" by Lakeridge "involves a risk of injury to you . . . whether causes by the actions or passive or active negligence of you, <u>someone else, or employees of Lakeridge</u>. As such, you . . . understand and voluntarily accept and assume this risk and agree that <u>Lakeridge [and] its employees</u> . . . will not be held liable for any injury, . . . monetary or financial loss, . . . occurring at the premises or while using the facilities . . . owned or operated by Lakeridge, or while participating in activities or classes, . . . or receiving training or instruction, or participating in any way in any activity or event at Lakeridge, or resulting from or in any way arising out of the negligence . . . of anyone on Lakeridge's behalf, or anyone at the premises or using the facilities owned or operated by Lakeridge." (UMF 1, Kadlic Exh. A [emphasis added].) The waiver of claims continues, stating the waiver "includes, without limitation, injuries which may occur as a result of your . . . use of any . . . facilities, . . . the Club's improper maintenance of any . . . facilities, . . . <u>the Club's negligent instruction or supervision</u>, . . . including the Club's active or passive negligent inspection or maintenance of the facility." (UMF 1, Kadlic Decl Exh. A [emphasis added].)

1. <u>Application to Judo Class</u>

Plaintiff argues, without citation to supporting authority, that whether the waiver and release here "encompasses a specialized activity" is a "triable issue" of contract interpretation. The only opposing evidence remotely addressing this issue is some evidence that there was a separate judo class registration form that was provided to him after he was injured at the end of class. (Resp. to UMF 1 citing Mesnaoui DT 41:14-20, 23-25.) There is no evidence of the content of the registration form, nor does Plaintiff cite any additional facts or legal authority or make any cogent analytical or legal argument to explain why "registration" for the judo class would mean that the general Release and Waiver does not apply or bring the judo class within its scope. (*See also Grebing v. 24 Hour Fitness USA, Inc.* (2015) 234 Cal.App.4th 631, 638 ["[W]hen a release expressly releases a defendant from any liability, it is not necessary that the plaintiff have specific knowledge of the particular risk that ultimately caused the injury."].) Nothing in the fact of registration itself, without more, raises a triable issue as to whether the scope or interpretation of the Lakeridge Release and Waiver forms encompass Plaintiff's participation in the judo class. Plaintiff cites no legal authority to support his implicit legal argument that to be legally effective in this context, a release or waiver must specify the particular activity in which the party was injured. "Contentions are waived when a party fails to support them with reasoned argument and citations to authority. [Citations omitted.]" (*Moulton*

Niguel Water Dist. v. Colombo (2003) 111 Cal. App. 4th 1210, 1215.)

In addition, the decision in *Lund v. Bally's Total Fitness* (2000) 78 Cal.App.4th 733 is to the contrary. *Lund* affirmed a nonsuit in favor of the defendants based on a release and waiver where the plaintiff was injured in using exercise equipment under the supervision of a personal trainer employed by Bally's. (*Id.* at 735, 738.) She had to pay an additional fee for the personal trainer as it was not covered by the regular membership fee. (*Id.* at 737.) The Court rejected the plaintiff's argument that the release and waiver in the membership agreement did not cover services with the personal trainer and that she had to sign a new waiver and release. (*Id.* at 738.) The Release and Waiver clearly refers to exercise activity or instruction, participating in activities or classes, or training, or any activity at the premises, which clearly encompasses the judo class. (*See also Bushnell, supra,* 43 Cal.App.4th 525 [holding primary assumption of the risk doctrine applies to judo instruction].)

As noted by the Lakeridge Defendants, the scope of the release and whether it negates Defendants' duty is an issue of law for the Court. (*See Cohen, supra,* 159 Cal. App. 4th at 1483.) (*See also Sanchez v. Bally's Total Fitness Corp., supra,* 68 Cal. App. 4th at 69 ["Whether a contract provision is clear and unambiguous is a question of law, not fact."].) Plaintiff does not make any analysis of the language of the Release and Waiver to show that there is any ambiguity or "triable" fact issue regarding the interpretation of those documents.

Plaintiff also argues that Lakeridge cannot rely on the Release and Waiver because Plaintiff signed it 13 months before the incident. Plaintiff cites no authority that supports that an exculpatory clause validly executed 13 months prior to an injury is somehow invalid or ineffective, or that the law imposes a timing requirement on when the waiver of claims is executed in relation to participation in the activity that caused the injury. The Court rejects this legally unsupported argument. (*Moulton Niguel Water Dist., supra,* 111 Cal. App. 4th at 1215 [unsupported legal arguments are properly disregarded].)

Plaintiff also argues that he did not read or understand the Release and Waiver before signing it. (Opp. p. 7, ll. 8-10.) He cites no facts or legal authority that someone from Lakeridge was obligated to explain the documents to him in order for them to be effective. Plaintiff asserts <u>but does not provide any support for</u> that even though the case law holds a party is bound to contracts they sign even if they did not read them, courts recognize "questions of unconscionability, fraud in the inducement, and whether a waiver encompasses the specific conduct at issue are factual determinations inappropriate for summary judgment when disputed." (Opp. p. 7, ll. 10-13.) These propositions are unsupported and may be disregarded. (*Moulton Niguel Water Dist., supra,* 111 Cal. App. 4th at 1215.)

2. <u>Application to Direct Claim Against Lakeridge for Premises Liability (Issue 2)</u>

Plaintiff argues in his opposition, without citation to any additional facts supported by evidence in his Response to the SS, that there was negligence by Lakeridge in hiring or retaining Worthington to conduct the judo class. Plaintiff has not cited authority that would make negligent hiring and training a basis for a premises liability claim, but even if it is a valid basis for the claim, negligence by Lakeridge in connection with training, instruction, or use of its facilities is clearly within the scope of the Release and Waiver.

Plaintiff argues Lakeridge owed a nondelegable duty to ensure the judo instructor did not provide "dangerous pseudo-medical treatment to injured patrons" (Opp. p. 17), and premises liability extends beyond the physical condition of the property "to include negligent activities and supervision occurring on the premises" (Opp. p. 18). He makes arguments regarding Lakeridge's negligent supervision of the premises by its failure to train instructors on emergency protocols, prohibit untrained medical intervention, and ensure adequate emergency response procedures, and by Lakeridge "allow[ing] " Worthington to provide medical treatment. (Opp. p. 18.) The arguments are unsupported by any legal authority. (*Moulton Niguel Water Dist., supra,* 111 Cal. App. 4th at 1215.) Plaintiff's Release and Waiver expressly and validly released Lakeridge from liability for negligence for instruction, training and use of the facilities at the club, of which the judo class was a part, including negligence by Lakeridge, by its employees or by "someone else." (UMF 1 [Kadlic Decl. Exh. A].)

The arguments are also unsupported by any facts or evidence that (a) to make a safe environment for the conduct of a judo class or other exercise class by an independent contractor, Lakeridge as the property owner had to implement such protocols, rather than relying on the fact the judo instructor, as an independent contractor, was credentialed as a certified instructor, (b) that Lakeridge allowed or had any knowledge that Worthington provided or would provide medical treatment for an injury during the judo class, or (c)that Lakeridge had any notice of that possibility through prior complaints or incidents. The fact that Lakeridge received no complaints about the judo class or Worthington prior to the incident is supported by admissible evidence and is undisputed. (UMF 19.)

In addition, the arguments do not address the requirement of the case law cited above for premises liability that the owner have notice of the alleged dangerous condition; it is undisputed that there were no prior complaints or incidents involving the judo class or Worthington. (UMF 19.) (*Ortega, supra,* 26 Cal.4th at 1206.) In sworn Special Interrogatory response, the only evidence Plaintiff could provide regarding notice was when Worthington "observed the Plaintiff's injured right foot, which depicted a bone protrusion under the skin of Plaintiff's right foot, and forcefully applied compressions to Plaintiff's already significantly injured right foot," and that Worthington had notice when Plaintiff's grappling partner went to procure ice for his foot. (UMF 17, citing Pl. Resp. to Spec. Rog. No. 13.) This alleged notice is contemporaneous with the injury, and Plaintiff cites no authority that would make such notice sufficient to impose premises liability on Lakeridge as the owner. (*Ortega, supra,* 26 Cal.4th at 1206.)

H. Application of Release and Waiver to Plaintiff's Direct Claim for Negligence Against Lakeridge (Issue 3)

Regarding any direct negligence by Lakeridge for the general negligence cause of action, Plaintiff relies on these same allegations in his opposition regarding Lakeridge's negligent hiring and retention of Worthington, negligent supervision and negligent training, including failing to train or provide protocols for medical events or intervention. Negligent supervision and training by Lakeridge are expressly covered by the Release and Waiver terms. Plaintiff has not shown any legal basis or raised any factual dispute supported by evidence as to why he is not bound to the Release and Waiver and why his direct negligence claims against Lakeridge are therefore not released and waived based primary assumption of the risk.

I. Indirect Liability of Lakeridge on Negligence Cause of Action for Worthington's Potential Grossly Negligent Conduct as Independent Contractor; Ostensible Agency Evidence and Argument (Issue 3)

Defendants also shifted the burden to Plaintiff to demonstrate a basis for holding Lakeridge liable for any conduct of Worthington after the Lakeridge Defendants presented substantial evidence and legal authority regarding his independent contractor status. Plaintiff asserts that Worthington's conduct could be found to be gross negligence and therefore outside the scope of the Release and Waiver and primary assumption of the risk. In his opposition brief, Plaintiff also argues, without citation to any authority, that (a) vicarious liability applies based on ostensible agency principles (Opp. pp. 11-12), and (b) there are exceptions to the general rule of non-liability of a hirer for negligence by an independent contractor (Opp. p. 11). Plaintiff has not identified what those exceptions to nonliability may be, with citation to legal authority, and which exceptions he contends apply in this case. The Court need not address conclusory and unsupported legal arguments. (*Moulton Niguel Water Dist., supra,* 111 Cal. App. 4th at 1215.)

1. Disputed Facts Regarding Worthington's Gross Negligence

The Lakeridge Defendants submitted evidence in support of their motion that Worthington only examined Plaintiff's foot after the injury. UMF 14 states only that Plaintiff "alleges" Worthington applied pressure to his foot. There is no UMF asserting that Plaintiff consented to Worthington applying pressure or trying to relocate the bone.

Plaintiff has presented additional facts supported by substantial evidence in the Response to the UMF that Worthington put pressure on the top of Plaintiff's foot and attempted to manipulate the foot in some manner to address what Worthington believed was a dislocated bone. (Resp. to UMF 14.) Worthington was a judo instructor conducting drills and exercises in judo with his students. (*See generally* Worthington Decl.) There is no evidence from Worthington's credentials cited in his declaration that he had any medical training, that his certification as a judo instructor would encompass rendering first aid or medical care for injuries suffered during a judo class, or that performing a compression on an injured foot to possibly relocate a bone is part of judo instruction or his judo instructor certification.

Plaintiff argues that Worthington's conduct in manipulating his foot after it was injured was "grossly negligent," outside the scope of regular judo instruction, and therefore conduct not within the scope of the membership agreement release and waiver of claims. He argues engaging in conduct which "substantially or unreasonably increased the inherent risk of an activity" can be gross negligence, citing *Willhide-Michiulis v. Mammoth Mountain Ski Area, LLC* (2018) 25 Cal.App.5th 344, 359. (Opp. p. 10.) He argues that Worthington's actions in allegedly administering the post-injury are "totally outside the range of ordinary activity involved in teaching or coaching a sport" and are therefore not subject to the primary assumption of the risk doctrine, citing *Kahn v. East Side Union High School Dist.* (2003) 31 Cal.4th 990. The Court agrees on the record before it, and at a minimum, there are triable issues of material fact as to whether Worthington's conduct concerning the foot after Plaintiff was injured grappling was gross negligence and/or totally outside the ordinary scope of teaching judo.

The Lakeridge Defendants in their moving papers refer in passing to Plaintiff having consented to Worthington applying pressure to his foot, but they argued based on Worthington's declaration that Worthington merely looked at Plaintiff's injured foot, which was within the ordinary scope of activity involving teaching or coaching a sport. (MPA ISO Mot. p. 12, ll. 9-24; UMF 14.) Plaintiff has presented facts supported by evidence from Mesnaoui's and Morganthaler's DTs that Worthington put pressure on the top of the foot or compressed the foot, not that he just examined it. (Resp. to UMF 14.) The Lakeridge Defendants' assumption of the risk arguments were focused on the Release and Waiver and primary assumption of the risk doctrine, not on assumption of the risk based on Plaintiff's verbal consent to Worthington compressing the foot. They argued that if Worthington is proven to have engaged in that conduct, his intention was to help and not harm, therefore taking the conduct out of gross negligence. (MPA ISO Mot. p. 11, ll. 2-7.)

It is undisputed that shortly after the grappling exercise began, "Plaintiff immediately stated that he thought he broke his foot." (UMF 11.) There is a triable issue of fact as to what Worthington did to the foot after it was injured, which also raises a triable issue as to whether what he did it increased the risks to Plaintiff beyond the ordinary risks of judo and whether the conduct, if proven, was outside the ordinary activities of a coach or instructor. (*See Wattenbarger v. Cincinnati Reds, Inc.* (1994) 28 Cal. App. 4th 746, 756 [reversing summary judgment for defendants finding triable issues of fact in dispute as to whether team coaches were advised by playing trying out for baseball team that plaintiff, a pitcher, had "popped" his arm, and after consulting with the coaches, player was "encouraged or permitted him to throw a fourth pitch, and whether this final pitch caused injury"]; *Kahn v. East Side Union High School Dist.* (2003) 31 Cal.4th 990, 1006, 1011["a sports instructor or coach owes a duty of due care not to increase the risk of harm inherent in learning an active sport" and for liability, proof "instructor's conduct was 'totally outside the range of the ordinary activity' [citation omitted] involved in teaching or coaching the sport"].)

Gross negligence " 'falls short of a reckless disregard for consequences, and differs from ordinary negligence only in degree, and not in kind . . . .' [Citations, internal quotation marks omitted.] 'Generally <u>it is a triable issue of fact whether there has been such a lack of care as to constitute gross negligence</u> [citations omitted.]' [Citation omitted.]" (*Brown, supra,* 76 Cal.App.5th at 1028 [emphasis added].)

The Lakeridge Defendants point to cases in which a student was injured performing a sports activity or exercises at the urging of a coach that may have been beyond the student's physical capabilities. (*See, e.g., Rostai v. Neste Enterprises* (2006) 138 Cal.App.4th 326, 328-329, 334; *Bushnell, supra,* 43 Cal.App.4th at 534.) Unlike *Rostai*, this is not a case involving a coach or trainer pushing an individual to do more difficult or complicated activities within the scope of the exercise. (*Rostai, supra,* 138 Cal.App.4th at 334.) Instead, this case involves an allegation of actions by the instructor <u>far beyond the scope</u> of the activity. (*But see Kahn, supra,* 31 Cal.4th at 1011-1013, 1018 [reversing decision finding summary judgment for defendants appropriate, finding a disputed issue of fact as to coach's conduct being reckless as "totally outside the range of ordinary activity involved in teaching or coaching the sport of competitive swimming"].) To the extent the Lakeridge Defendants contend that Worthington's conduct is either within the ordinary scope of judo instruction activities or did not exacerbate the injury or increase the risk of harm to Plaintiff from the injury, the Lakeridge Defendants have not met their burden to demonstrate those facts and to show that no triable issues exist on those subjects. They did not present evidence that such conduct is within the customary role of a coach in judo instruction, or that it is within the proper instructor conduct specified by USA Judo, or based on admissible evidence, that Worthington's conduct if he did compress the foot did not increase any risk of injury to Plaintiff or did not further injure the foot. Triable issues of fact as to Worthington's potential gross negligence under the standards set forth above make the Release and

Waiver ineffective to bar a claim for gross negligence and potentially take Worthington's conduct outside the primary assumption of the risk doctrine.

2. Ostensible Agency

The moving parties directly addressed the specific allegation that Worthington was a "staff member" of Lakeridge (Compl. ¶ 11) in UMF 4 with supporting evidence. In his Response to UMF 4, Plaintiff asserts that Lakeridge "held Worthington out as its instructor" and "exercised control over curriculum, class schedule, and use of its premises." (Resp. to UMF 4.) To support these facts, Plaintiff cites a statement from paragraph 5 of the Worthington declaration that Lance and Worthington create the judo class curriculum "in accordance with USA Judo," which Plaintiff contends shows Lakeridge "controlled the curriculum standards." (Resp. to UMF 4.) The declaration, however, explicitly states Lance and Worthington created the curriculum according to the USA Judo standards, not Lakeridge. Plaintiff also contends in the Response to UMF 4 that the fact that Lance "arranged" to have the class at Lakeridge means Lakeridge "controlled which contractors could teach." Plaintiff does not cite any legal authority in his opposition showing how that fact demonstrates that Worthington is not an independent contractor.

Nevertheless, Plaintiff raises the doctrine of ostensible agency in his opposition to the motion, citing a decision involving a physician at a hospital: *Mejia v. Community Hospital of San Bernardino* (2002) 99 Cal. App. 4th 1448. *Mejia* explained the doctrine as follows: "Although the cases discussing ostensible agency use various linguistic formulations to describe the elements of the doctrine, in essence, they require the same two elements: (1) conduct by the hospital that would cause a reasonable person to believe that the physician was an agent of the hospital, and (2) reliance on that apparent agency relationship by the plaintiff. [Citations omitted.]" (*Id.* at 1453 [emphasis added].) (*See also* Civ. Code § 2334 ["A principal is bound by acts of his agent, under a merely ostensible authority, to those persons only who have in good faith, and without want of ordinary care, incurred a liability or parted with value, upon the faith thereof."].) In that case, the physicians were independent contractors, not employees of the hospital. *Mejia* held that the fact of a patient merely entering a hospital emergency room for treatment by a physician is sufficient to raise a triable issue as to the physician's being an ostensible agent of the hospital which has to be determined by the jury. The Court reversed the nonsuit for the hospital, even though the negligent physician was a radiologist who never saw the plaintiff. (*Id.* at p. 1460.)

There is no dispute that the judo class was held at the Lakeridge facility, such that Lakeridge implicitly or expressly authorized the use of its facility. Worthington was admittedly the instructor for the judo class being held at the club. Plaintiff has alleged that Worthington was a staff member of Lakeridge in his complaint, and liberally construing the evidence in favor of the opposing party, there is a reasonable inference that Plaintiff relied on the assumption Worthington as the judo instructor for a class held at Lakeridge was an agent or employee of Lakeridge.

Under *Mejia*, and without any evidence offered by the Lakeridge Defendants that they informed judo class participants, including Plaintiff, that the judo instructors were not Lakeridge's employees or agents, this evidence is sufficient to at least raise a triable issue of fact on ostensible agency. The Lakeridge Defendants offered no evidence that would support that Plaintiff had any information that would make his reliance on or assumption Worthington was an agent or employee unreasonable.

There is no evidence in the record to support that Plaintiff was negligent in not discovering that the judo instructors were independent contractors before taking the class.

Defendants do not address *Mejia* and the ostensible agency doctrine in their reply. Plaintiff's Response to UMF raises triable issues of fact on ostensible agency, and its opposition includes law that may support that Worthington was the ostensible agent of Lakeridge and that Lakeridge may have liability for Worthington's acts under that doctrine.

On the current record, the Lakeridge Defendants have failed to demonstrate that there is no triable issue as to (a) whether Worthington's conduct alleged by Plaintiff, with supporting evidence in opposition to the motion, qualifies as gross negligence not exculpated by the Release and Waiver and outside the scope of ordinary activities involved in teaching or coaching judo and risks inherent in judo; and (b) that Lakeridge is not liable for Worthington's conduct under the ostensible agency doctrine.

Final Summary and Conclusion

For the reasons set forth above, the Court concludes there are no triable issues of material fact and that Worthington is entitled to summary adjudication of the premises liability cause of action against him as a matter of law (Issue 1). The Court **grants** the motion for summary adjudication of **Issue 1**.

The Court concludes there are no triable issues of material fact and that Lakeridge is entitled to summary adjudication of the premises liability cause of action against it as a matter of law. (Issue 2.) The Court **grants** the motion for summary adjudication of **Issue 2**.

The Court concludes there are triable issues of material fact that preclude the Court from granting summary adjudication of the negligence cause of action against Lakeridge. There are triable issues as to whether, notwithstanding Worthington's status as an independent contractor, Lakeridge could be liable for his tortious acts under the ostensible agency doctrine, and the disputed facts are ones which, if found in Plaintiff's favor, may constitute gross negligence and conduct "totally outside the range of ordinary activity involved in teaching or coaching a sport." (*Kahn, supra,* 31 Cal.4th at 1011-1013, 1018.) The Court therefore **denies** the motion for summary adjudication of **Issue 3**, and therefore also **denies** the motion for summary judgment.

Evidentiary Objections

The Court rules only on those evidentiary objections that are material to the determination of the motion. (Code Civ. Proc. § 437c(q).)

A. Plaintiff's Objections

1. Cary Declaration

Obj. No. 1 (¶¶ 2-9) – **Overruled**. (Evid. Code §§ 700, 702, 1400, 1410, 1414; foundation laid in part by Cary Decl. ¶ 1 that he is an attorney for defendants; *Ambriz v. Kelegian* (2007) 146 Cal.App.4th 1519, 1527 [finding, among other things, deposition excerpts were authenticated when opposing party submitted excerpts from the same depositions]; *Hooked Media Group v. Apple, Inc.* (2020) 55 Cal.App.5th 323, 337-338, rev. den. by *Hooked Media Group v. Apple Inc.* (Dec. 30, 2020) 2020 Cal. LEXIS 8983 ["As with any other fact, the authenticity of a document can be established by circumstantial evidence. [Citation omitted.] Apple's documents were authenticated both by the attorney's statement that they had been produced in discovery and by their form, which indicates authenticity."].)

2. Kadlic Declaration

Obj. Nos. 1, 2 (¶¶ 9, 10) – **Overruled.** (Evid. Code §§ 700, 702.)

3. Worthington Declaration

Obj. No. 1 (¶ 7) – **Overruled.** (Evid. Code §§ 700, 702; foundation laid in part by Worthington Decl. ¶¶ 3, 4.)

Obj. No. 2 (¶ 8) – **Sustained in part** as to "and it did not appear to be broken." Otherwise, **overruled.**

4. Donatto Declaration

Obj. Nos. 4, 5 and 6 {as to first sentence of paragraph 10 only) – **Sustained**. (*Fernandez v. Alexander* (2019) 31 Cal.App.5th 770, 781-782; *Sanchez v. Kern Emergency Medical Transportation Corp.* (2017) 8 Cal.App.5th 146, 155-156.) Among other things, to be admitted, the medical expert opinion cannot be conclusory, must contain a "reasoned explanation" for the opinions expressed, and with respect to a causation opinion, must be sufficient to convince a trier of fact "that it is more probable than not the negligent act was a cause-in-fact of the plaintiff's injury," or in this case, not the cause in fact of Plaintiff's injury or of making Plaintiff's injury worse. (*Sanchez v. Kern Emergency Medical Transportation Corp., supra,* 8 Cal.App.5th at 160; *Fernandez v. Alexander, supra,* 31 Cal.App.5th at 781-782 (expert declaration was conclusory, not supported by a reasoned explanation, and his conclusion on causation, though stated to a "reasonable degree of medical probability," failed to connect the factual predicates to the conclusion, making the declaration inadmissible on summary judgment].) Dr. Donatto describes Plaintiff's injuries but then states only that "digital pressure to the top of an adult foot would not have caused bone fractures" (a conclusion without a reasoned explanation or supporting medical, anatomical or other facts on which the conclusion is based), and that any attempted reduction "would not have caused further injury than the initial injury itself" (another conclusion without supporting reasoned explanation). (Donatto Decl. ¶ 9.) His conclusion that Plaintiff's injuries "are a direct result of the force sustained during the Judo exercise" is unsupported and inadmissible for the same reasons.

B. Defendants' Objections

Obj. Nos. 3, 7, 8 – **Overruled**. Witnesses testifying to their observations of events; admission of party opponent exception to hearsay rule. (Evid. Code § 1220.)

3. 9:00 AM CASE NUMBER: C24-03466
CASE NAME: MASON BONDI VS. TRENT LOCKETT
HEARING IN RE: APPLICATION AND HEARING FOR RIGHT ATTACH ORDER AND ISSUANCE FILED BY BONDI, MASON
FILED BY:
TENTATIVE RULING:*

Before the Court are three applications for right to attach orders and writs of attachment filed by plaintiffs Mason Bondi, Michael Bondi, and Yannick Pigois-Braunschweig, against individual defendants Trent Lockett ("Lockett") and Yann Stephane Lasme ("Lasme"), and corporate defendant Lola Ventures, Inc. ("Lola Ventures," collectively "Defendants"). For the reasons set forth below, the applications for right to attach orders and writs of attachment as to Lockett, Lasme and Lola Ventures, are **DENIED without prejudice.**

Background

Plaintiffs Mason Bondi, Michael Bondi, and Yannick Pigois-Braunschweig ("Plaintiffs" or "Lessors") are owners of real property located at 401 Parr Boulevard, Richmond, California (the "Property"). (Bondi Decl. ISO Attachment MPA ["Bondi Decl."], ¶¶ 1-2, Exh. A.) In August 2018, Plaintiffs entered into a commercial multi-tenant lease (the "Lease") with One In The Chamber, a California corporation ("Lessee"), with respect to the Property, which had a term that expired on October 31, 2023. (Bondi Decl., ¶ 2, Exh. A, § 1.3.) Lockett and Lasme signed on behalf of One In The Chamber, with both of them identified as co-owners. (Bondi Decl., Exh. A, p. 19.)

The obligations of the lease were guaranteed by Lockett and Lasme, who represented in the Guaranty that they each had a financial interest in the Lessee and an interest in the operations of the Lessee. (the "Guaranty"; Bondi Decl., ¶ 2, Exh. B.)

On or around August 2019, Lessee One In The Chamber (at this time known as Lola Ventures, Inc.) entered into a commercial sublease of the Property with Madrone Family Farms, Inc. (the "Sublease"; Bondi Decl., ¶ 3, Exh. C.). Lockett and Lasme signed the Sublease on behalf of Lola Ventures, and Lockett signed the Sublease on behalf of Madrone Family Farms Inc. (*Ibid*.) The Sublease was to run the same length as the prime Lease. (*Ibid*.)

After the lease expired on October 31, 2023, Defendants remained in possession of the Property and did not surrender possession until March 15, 2024 (the surrender date). (Bondi Decl., ¶ 4.) Between the expiration of the lease and the surrender date, negotiations took place between Plaintiffs and some Defendants and others about signing another lease for the Property. (Lockett Decl. ISO Opposition, ¶¶ 19-20; Jamaine Pitter Decl. ISO Opposition, ¶¶ 5-13.) As of approximately May 2023, Lockett appears to have ended his relationship with Lola Ventures. (Lockett Decl. ISO Opposition, ¶¶ 9-20; Gregor Decl. ISO Opposition, ¶¶ 1-2, Exh. 1.)

On December 19, 2024, Plaintiffs filed the operative complaint in this matter, which alleges the following causes of action: (1) breach of lease; (2) breach of guaranty; and (3) waste. (Complaint, pp. 1-5.) On April 18, 2025, Lockett filed a cross-complaint against Yann Stephane Lasme, Lola Ventures, and Madrone Family Farms, alleging claims for contribution and indemnity. (Lockett Cross-Complaint, pp. 1-4.) On May 8, 2025, Yann Stephane Lasme filed a cross-complaint against Trent Lockett, Jamaine Pitter ("Pitter"), and Smart Marketing, alleging a claim for equitable indemnity. (Lasme Cross-Complaint, pp. 1-3.)

On September 29, 2026, Plaintiffs filed the three instant applications for right to attach orders and for issuance of writs of attachment as to Lockett, Lasme, and Lola Ventures. Only Lockett has filed an opposition.

Legal Standard for Writ of Attachment

"Under Code of Civil Procedure section 483.010, a prejudgment attachment may issue only if the claim sued upon is (1) a claim for money based upon a contract, express or implied; (2) of a fixed or readily ascertainable amount not less than $500; (3) either unsecured or secured by personal property, not real property (including fixtures); and (4) commercial in nature." (*Goldstein v. Barak Construction* (2008) 164 Cal.App.4th 845, 852.)

In issuing a writ of attachment, the court must make the following findings:

> (1) The claim upon which the attachment is based is one upon which an attachment may be issued.
> (2) The plaintiff has established the probable validity of the claim upon which the attachment is based.
> (3) The attachment is not sought for purposes other than the recovery on the claim upon which the attachment is based.
> (4) The amount to be secured by the attachment is greater than zero.

(Code Civ. Proc., § 484.090, subd. (a).)

To obtain an attachment against a natural person, the claim must arise out of the person's conduct of a "trade, business or profession." (Code Civ. Proc. § 483.010, subd. (c).) "Those terms 'may be found to encompass almost any activity engaged in for profit with "frequency and continuity" . . . .' [Citations omitted.]" (*Kadison, Pfaelzer, Woodard, Quinn & Rossi v. Wilson* (1987) 197 Cal.App.3d 1, 4; see also *Advance Transformer Co. v. Superior Court* (1974) 44 Cal.App.3d 127, 144 ["if the sum total of the circumstances justifies the conclusion that the guarantor occupied himself to a substantial degree and on a continuing basis in promoting his own profit through provision of credit or management to the primary obligor, a guarantee executed in the course of such activity may properly be considered an obligation arising out of the conduct of the guarantor's business."].)

Plaintiff as the party seeking the attachment also bears the burden of demonstrating the basis for computation of its damages. (*CIT Group/Equipment Financing, Inc. v. Super DVD, Inc.* (2004) 115 Cal.App.4th 537, 540.) The damages sought do not need to be liquidated, but "they must be measurable by reference to the contract sued upon, and their basis must be reasonable and certain." (*Kemp Bros. Construction, Inc. v. Titan Electric Corp.* (2007) 146 Cal.App.4th 1474, 1481, fn. 5.) The amount secured by an attachment is the about of the debt claimed by the plaintiff plus estimated allowable attorneys' fees and costs, if requested. (*Goldstein, supra,* 164 Cal.App.4th at 852.)

Discussion

Procedural Requirements:

With respect to the initial factors to look at as per *Goldstein*, some of these are not contested. (*Goldstein v. Barak Construction* (2008) 164 Cal.App.4th 845, 852 ["a prejudgment attachment may issue only if the claim sued upon is (1) a claim for money based upon a contract, express or implied; (2) of a fixed or readily ascertainable amount not less than $500; (3) either unsecured or secured by personal property, not real property (including fixtures); and (4) commercial in nature."].) This is certainly a claim for money based on contract as to Defendants as all defendants are signatories on the written contracts at issue in the Complaint. (Complaint, ¶¶ 1-19, Exh. A; Bondi Decl., ¶¶ 1-6 and 8, Exhs. A, B, C, and D.) This appears to relate to a fixed or readily ascertainable amount not less than $500 as it arises out of a contract, but this will be discussed further below. (Bondi Decl., ¶¶ 6-8.) The debt here is unsecured. (*Id*. at ¶ 8.) Whether or not this claim is commercial in nature is being contested and is discussed below.

With respect to the Code of Civil Procedure section 484.090, subdivision (a), requirements, this appears to be a claim upon which an attachment may issue because it related to an unsecured debt arising out of a contract that is alleged to have a readily ascertainable amount of money sought. (Complaint, ¶¶ 1-19, Exh. A; Bondi Decl., ¶¶ 1-6 and 8, Exhs. A, B, C, and D.) Whether the claim is commercial in nature is contested by Lockett and is discussed below. Whether Plaintiffs have established probable validity of the claim is contested by Lockett as well and is discussed below. The uncontested evidence shows that the attachment is not sought for purposes other than the recovery on the claim upon which the attachment is based and that the amount to be secured by the attachment is greater than zero. (Bondi Decl., ¶¶ 6-8.)

Plaintiffs have obtained bonds in the amount of $10,000 to be utilized as undertakings for each of the writs of attachment sought against Lasme, Lockett, and Lola Ventures.

<u>Whether The Claim Sued Upon is Commercial in Nature?</u>

Lockett argues that the claim is not commercial in nature because it does not arise out of his business, trade, or profession. (Opposition, pp. 3:18-7:8.) He asserts that he was simply a "passive investor" in Lola Ventures and that he "was never involved in the management or day-to-day operations of Lola nor Madrone during [2018 to May 2023] or any other time." (Opposition, pp. 2:24, 6:20; Lockett Decl., ¶ 16.) He further argues that he was the Chief Executive Officer ("CEO") of Lola Ventures from December 2022 to May 2023, but that this was not his choice and that he did not manage or participate in the day-to-day operations of Lola Ventures as his title of CEO was a title only. (Opposition, p. 6.)

The *Advance Transformer* case goes into detail on how to analyze whether a defendant guarantor is engaged in business such that an attachment may be issued against them.

> If the defendant is engaged generally in the business of guaranteeing for a consideration the debts of others, that is, lending credit, any liability incurred as a result is a debt arising out of the conduct of his business. At the opposite extreme, a retired person, with no financial stake in the success of the primary obligor, cannot properly be held engaged in business solely by virtue of an isolated instance in which he guarantees a commercial obligation out of friendship and without compensation.
>
> Cases falling between these extremes will require the exercise of judgment on a case-to-case basis to determine whether the activity of the defendant with respect either (1) to the extension of credit generally, or (2) to the business of the primary obligor is such as to justify the conclusion that the guarantee of the primary obligor's debt sued upon is part and parcel of an activity which occupies the time, attention and effort of the guarantor for the purpose of livelihood or

> profit on a continuing basis.
>
> In cases involving guarantees by principal shareholders of closely held corporations, consideration will necessarily be given to the degree and continuity of the guarantor's involvement in the affairs of the primary obligor out of which the indebtedness has arisen. For example, (1) if a corporation has habitually been provided with operating capital through the medium of such guarantees by the defendant, or (2) the obligation sued upon has resulted from an extension of credit in reliance upon defendant's continuing guarantee, or (3) the defendant has extensively occupied himself in the management of the primary obligor on a continuing basis and has a major stake in its success, the required "frequency and continuity" may be found to exist. In short, if the sum total of the circumstances justifies the conclusion that the guarantor occupied himself to a substantial degree and on a continuing basis in promoting his own profit through provision of credit or management to the primary obligor, a guarantee executed in the course of such activity may properly be considered an obligation arising out of the conduct of the guarantor's business.

(*Advance Transformer Co. v. Superior Court* (1974) 44 Cal.App.3d 127, 144.)

Plaintiffs argue that Lockett admits in his opposition that he and Lasme "decided to go into the cannabis cultivation business together." (Reply, p. 3:26-27, *citing* Opposition, p. 2:13-14.) They offer a number of additional reasons why the basis of Lockett's involvement was commercial in nature. First, the original lease for the Property stated at section 1.8 that "the Agreed Use was for 'warehousing and cultivation of cannabis products with office and administrative use to support such business, as long as the use is allowed by the City…' " (Bondi Decl., Exh A [Lease], p. 19, § 1.8.) Further, Lockett signed the lease on or about September 1, 2018, as a "co-owner" on behalf of the tenant and initialed every page of the lease. (Bondi Decl., Exh A [Lease], p. 19.) Lockett also signed an addendum to the lease shortly thereafter as "co-owner" of the tenant. (*Ibid*.) In addition to signing the lease on behalf of Lola Ventures, Lockett also signed a Guaranty by which he agreed that "each Guarantor has a financial interest in the Lessee and an interest in the operations of the Lessee." (Bondi Decl., Exh B [Guaranty].) Finally, when Lola Ventures subleased the Property to Madrone Family Farms as sublessee for $1 per month, Lockett signed as a co-owner not just on behalf Lola Ventures but on behalf of Madrone Family Farms. (Bondi Decl., Exh C [Sublease], p. 4.)

In analogizing/distinguishing the facts here from *Advance Transformer* in order to determine whether Lockett is more like: (1) a person in the business of guaranteeing the debts of others for consideration; or (2) a retired person with no financial stake in the success of the primary obligor, who guarantees a commercial obligation out of friendship and without compensation—Lockett is more like the former. The activity of Lockett with respect Lola Ventures is such as to justify the conclusion that his guarantee of Lola Venture's debt is part and parcel of an activity which occupies the time, attention and effort of Lockett for the purpose of livelihood or profit on a continuing basis.

Although he is not in the business of offering guarantees for money, his connection with Lola Ventures and Madrone Family Farms shows that these are businesses that he actively participates in. In 2018, he "made a deal to co-venture on a cannabis project in California" with Lasme, he became a majority shareholder with Lasme and was a board member, he took part in the decisions to acquire and operate Madrone Family Farms and to allow Pitter to "completely oversee the Madrone project," and he was the CEO for six months. (Lockett Decl., ¶¶ 2, 5, 6, 9, 10, 11, 16.) Additionally, Lockett signed the Lease, two addendums to the Lease, he reviewed the lease prior to signing, he signed the Guaranty (in which he represented that he has a financial interest in Lola Ventures and an interest in the operations of Lola Ventures), and he signed the Sublease on behalf of both Lola Ventures and Madrone Family Farms as a co-owner. (Bondi Decl., ¶¶ 2-3, Exhs. A, B, C.) Finally, Lockett invested over a million dollars in Lola Ventures and hoped for a return on that investment. (Lockett Decl., ¶ 16.)

Based on the above, the Court finds that instant claims commercial in nature as to Lockett and that the guarantee of Lola Venture's debt was done for the purpose of livelihood or profit on a continuing basis as he extensively occupied himself in the management of Lola Ventures and had a major stake in its success. At the very least, it would appear fair to describe Lockett's "trade or business as that of a business investor," which is sufficient to satisfy the commercial purpose standard. (*Great American Ins. Co. v. National Health Services, Inc.* (1976) 62 Cal.App.3d 785, 795.) The claim here is one for which an attachment may be issued.

<u>Probable Validity</u>

Plaintiffs claim that their application for a Right to Attach Order against Defendants should be granted in the amount of $322,406.84. (MPA ISO Attachment, p. 8.) This includes the balance of September 2023 rent ($12,893.38), October 2023 rent ($45,580.90), rent and holdover charges from November 2023 to March 2024 of $234,051.85 (five months of base rent [$38,374.27], common area operating expenses [$4,180.60], the 10% late fee [$4,255.49]), in addition to past due garbage fees [$7,054.82], attorneys' fees [$20,000], and costs [$2,825.89]). (Bondi Decl., ¶¶ 6, 8.)

"A claim has 'probable validity' where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (Code Civ. Proc., § 481.190.)

Here, Lockett argues that there is no probably validity here because Plaintiffs consented to Defendants continued possession of the Property and accepted rent after the lease terminated, so that there was no breach for holding over. (Opposition, p. 7.) Lockett's involvement with Lola Ventures appears to have ended around late May 2023. (Lockett Decl., ¶¶ 12-15.) Lockett does not state what happened to his relationship with Madrone Family Farms, which he was a co-owner of when the sublease was signed. (Bondi Decl., ¶ 3, Exh. C.) Lockett's Opposition includes a declaration from Jamaine Pitter, which describes the attempt to secure a new lease from September 2023 until March 2024. (Pitter Decl., ¶¶ 1-13.) The Pitter declaration asserts that rent was paid for the months of September, October, and November 2023, but does not state how much rent was paid. (*Id*. at ¶ 7.) This is somewhat supported by Exhibit 4 to the Pitter Declaration, which shows Bondi saying on December 4, 2023, "[t]hank you for sending the rent check, that has helped us feel reassured that we are all committed to working together." (*Id*. at ¶ 11, Exh. 4.) The amount of this payment is seemingly identified as having been $10,000. (Bondi Decl. ISO Reply, ¶ 2.) The Pitter Declaration also shows there was an intention to pay the rent for the Property for the months of December 2023, and January 2024. (*Id*. at ¶ 12, Exh. 5.)

Plaintiffs argue that it is undisputed that the Lease expired on October 31, 2023, and that the Property was not vacated until March 2024. (Reply, p.6.) Plaintiffs argue that Defendants needed to surrender possession or continue to pay rent while they remained in possession and Defendants did neither. (*Id*., at p. 7.) They further argue that a commercial tenant becomes a holdover tenant if they fail to execute a new lease to extend the fixed-term and that holdover tenants are liable for the value of the use and occupation of the premise during the time of holding over, such as fair rental value of the premises. (*Id*., at p. 6.) In the Bondi Declaration in support of the Reply, Bondi asserts that with respect to the security deposit, "we applied and exhausted the security deposit against past due rent through September 2023," and "[t]he last payment of rent we received from Defendants was in January 2024, in the amount of $10,000. We applied that payment towards the balance of the September 2023 rent." (Bondi Decl. ISO Reply, ¶ 2.) Plaintiffs issued a Three Business-Day Notice to Pay or Quit, which demanded a replenishment of all past due rent and charges. (*Id*., at ¶ 2, Exh. B.)

With this evidence before it, the Court holds that Plaintiffs have not shown they are likely to prevail on their claim for $322,406.84. (Lockett Decl., ¶ 21.) According to the Three Business-Day Notice to Pay or Quit, there was no balance of rent remaining for September 2023, and only $40,499.17 remaining for October 2023. (Bondi Decl. ISO Reply, ¶ 2, Exh. B.) This conflicts with the amounts identified as being currently due by Plaintiffs in their supporting declaration ($12,893.38 for September 2023 and $45,580.90 for October 2023). (Bondi Decl., ¶ 6.)

Further, Plaintiffs seek the contract rental price, plus common area maintenance, plus a late fee, for the months of November 2023, December 2023, January 2024, February 2024, and March 2024. The law states that "[t]here is no contractual relationship between a holdover tenant and the landlord; the tenant has but ' "naked possession." ' " (*Aviel v. Ng* (2008) 161 Cal.App.4th 809, 820.) "[T]he holdover tenant is liable for the value of the use and occupation of the premise during the time of holding over." (*Ibid*.) The amount of damages is not simply the prior lease rate, but the "fair rental value" of the premises. (*Id*., at 821.) Damages "must be measurable by reference to the contract sued upon, and their basis must be reasonable and certain." (*Kemp Bros. Construction, Inc. v. Titan Electric Corp.* (2007) 146 Cal.App.4th 1474, 1481, fn. 5.)

Here, there is no certainty as to the value of the Property from November 2023 to March 2024, as it would not be appropriate to state that the contract would control when there is no longer any contractual relationship. Even if the value during that time was the base rent previously agreed to, that would not include a $4,255 late fee Plaintiffs have added on to every month, as that is purely contractual. Thus, in light of the conflict in evidence between what Plaintiffs have submitted with respect to the September 2023 and October 2023 damages, and the lack of certainty of the damages for November 2023 to March 2024, the Court does not find probable validity for the damages Plaintiffs seek in the amount of $322,406.84. That amount of damages is not measurable by reference to the contract sued upon, and their basis is not reasonable and certain. (*Kemp Bros. Construction, Inc. v. Titan Electric Corp.* (2007) 146 Cal.App.4th 1474, 1481, fn. 5.)

In light of the above, the Court finds that Plaintiffs have not established probable validity of their claim for $322,406.84.

<u>Lasme & Lola Ventures</u>

The burden of proof is on the party requesting the attachment to prove all facts essential to support the attachment it seeks, including that the claim is one on which an attachment may be issued and the probable validity of its claim, even if there is no opposition by the defendant. (*See generally Loeb*

& Loeb v. Beverly Glen Music, Inc. (1985) 166 Cal.App.3d 1110, 1115-1116; Code Civ. Proc. § 484.090, subd. (a).)

Here, Defendants Lasme and Lola Ventures have not opposed the instant motion. However, because the Court has found that Plaintiffs have not met their burden of showing the probable validity of their claim, the Court will be unable to grant the motion as to these defendants.

Ruling

The Court **DENIES** Plaintiffs' applications for right to attach orders and writs of attachment against Defendants without prejudice.

4. 9:00 AM CASE NUMBER: C25-00602
CASE NAME: GLOBAL VENTURE ENTERPRISES LLC, VS. THE HOUSE OF WALTER H. WILLIAMS, LLC,
***HEARING ON MOTION IN RE: WITHDRAW REQUEST FOR ENTRY OF DEFAULT OF DEFENDANT THE HOUSE OF WALTER H. WILLIAMS, LLC**
FILED BY: GLOBAL VENTURE ENTERPRISES LLC,
****TENTATIVE RULING:****

Plaintiff global Venture Enterprises LLC filed this action on March 5, 2025. Plaintiff succeeded in serving Defendant The House of Walter H. Williams, LLC on July 2, 2025. On August 18, 2025, Plaintiff requested Entry of Default and the court entered the requested default. On October 3, 2025, Plaintiff filed the instant Motion to Withdraw Request for Entry of Default, with a declaration accompanying noting that Plaintiff had learned additional information since the entry of the default and wished to amend the pleading to add individual parties. Plaintiff is unable to amend new parties in when the sole original Defendant—and therefore the entire operative complaint—is subject to default. Plaintiff served Defendant's agent for service of process with this motion. The Court received no opposition to this request.

Plaintiff cites to Code of Civil Procedure section 473(b) to note that relief from default may be taken as a result of mistake or inadvertance. That section, however, speaks specifically to "reliev[ing] a party or the party's legal representative from a judgment, dismissal, order, or other proceeding *taken against the party* through the party's mistake, inadvertence, surprise, or excusable neglect." The Court could find no guidance on situations like the one at issue here. Plaintiff does properly note that courts are to liberally allow amendment to a complaint. Code Civ. Pro. § 473(a). Given that Plaintiff filed this motion relatively promptly, the stated interest is in amending new parties in, and the Court sees no substantial prejudice in permitting the relief requested, the Motion is **granted**. The default judgment is withdrawn and Plaintiff may file an amended complaint.

5. 9:00 AM CASE NUMBER: C25-00744
CASE NAME: SHELBY SIFERS VS. NBCUNIVERSAL MEDIA, LLC
***HEARING ON MOTION IN RE: APPLICATION/MOTION TO APPEAR AS COUNSEL PRO HAC VICE RE: KYLE A. SHAMBERG**
FILED BY: SIFERS, SHELBY
****TENTATIVE RULING:****

Background

On October 7, 2025, Plaintiffs Shelby Sifers et al. filed Notice of Hearing, through Counsel Matthew Ruan, on Verified Application for Admission of Kyle A. Shamberg to the Bar of this Court Pro Hac Vice ("Motion"). The Motion was supported by the Declaration of Kyle Shamberg. The Proof of Service shows that service was accomplished via mail on October 7, 2025, and that the State Bar was notified via the Admissions Applicant Portal.[1] The Court did not receive timely opposition from Defendant NBCUniversal Media.

Analysis

California Rules of Court (CRC) Rule 9.40 allows this Court to grant a written application for leave to appear as Counsel Pro Hac Vice to an applicant who is not a member of the State Bar of California, but who is admitted into and is in good standing with the highest court of any other state.

Upon review, the Court finds that the application of Kyle Shamberg contains a declaration which declares facts under penalty of perjury to support the application under CRC Rule 9.40. Counsel Shamberg is an attorney licensed to practice in Illinois and New York, and before District Courts for the Northern, Central, and Southern Districts of Illinois and the Courts of Appeals for Second and Seventh Circuits. He is employed by Carroll Shamberg LLC in Chicago, Illinois. He is not a member of the California State Bar, nor is he a resident of the State of California, nor does he have regular employment or substantial business in California. He represented to the Court that he not been suspended, disbarred or resigned as counsel. No court has denied his application to be admitted Pro Hac Vice.

After considering the moving papers, and applying the relevant law, the Court makes the following findings and orders.

Ruling

No timely opposition was filed with the Court. Defendant's motion is granted. Kyle Shamberg is admitted to appear as Counsel Pro Hac Vice for the duration of this case. Defendants Counsel are ordered to prepare and e-file a conforming order to signed by the Court within five days of the date of this hearing. No appearance is required at the hearing on March 26, 2026.

6. 9:00 AM CASE NUMBER: C25-01550
CASE NAME: EVERETT WATROUS III VS. EVERETT WATROUS IV
***HEARING ON MOTION IN RE: DISQUALIFY COUNSEL**
FILED BY: WATROUS IV, EVERETT D.
****TENTATIVE RULING:****

Defendants and Cross-Complainants Everett Watrous IV, April Watrous, and CMM Systems, Inc bring this Motion to Disqualify counsel for Plaintiff and Cross-Defendant Everett Watrous IV. Plaintiff filed a timely opposition. Both parties have submitted declarations in support of their filings.

[1] Although California Rule of Court 9.40 specifies that service must be made upon the State Bar at its San Francisco office, the State Bar website directs notice to be given through the portal.

This case involves an intra-family dispute regarding a contract for stock purchase by the Defendant Everett Watrous IV of Plaintiff Everett Watrous III's shares in Defendant CMM Systems, Inc. This case is in its early stages. Defendants have now filed a motion to disqualify Thomas del Beccaro as counsel for Plaintiff Watrous III, alleging that he was involved in the stock purchase agreement as attorney for Defendant CMM Systems and holds relevant factual information at issue in the case. The sole evidence in support of this motion is a brief declaration—one page of substance—by Defendant April Watrous.

"A court's authority to disqualify a lawyer in a pending proceeding derives from its inherent power to regulate the conduct of court officers, including attorneys, in furtherance of the sound administration of justice." (*City of San Diego v. Superior Court* (2018) 30 Cal.App.5th 457, 469.) Disqualification, however, is "a drastic remedy that should be ordered only where the violation of the privilege or other misconduct has a 'substantial continuing effect on future judicial proceedings.'" (*Id.* at 462 quoting *Gregori v. Bank of America* (1989) 207 Cal.App.3d 291, 309.)

Rules of Professional Conduct

Defendants cite three Rules of Professional Conduct purportedly at issue here: Rules 1.7, 1.9, and 3.7.

Rule 1.7(a) provides that "A lawyer shall not, without informed written consent* from each client and compliance with paragraph (d), represent a client if the representation is directly adverse to another client in the same or a separate matter."

Finally Rule 1.9(a) states, "A lawyer who has formerly represented a client in a matter shall not thereafter represent another person* in the same or a substantially related matter in which that person's* interests are materially adverse to the interests of the former client unless the former client gives informed written consent."

Rule 3.7 states, in pertinent part: "A lawyer shall not act as an advocate in a trial in which the lawyer is likely to be a witness unless: (1) the lawyer's testimony relates to an uncontested issue or matter; (2) the lawyer's testimony relates to the nature and value of legal services rendered in the case; or (3) the lawyer has obtained informed written consent from the client."

"In exercising its discretion to disqualify counsel under the advocate-witness rule, a court must consider: (1) 'whether counsel's testimony is, in fact, genuinely needed'; (2) 'the possibility [opposing] counsel is using the motion to disqualify for purely tactical reasons'; (3) 'the combined effects of the strong interests parties have in representation by counsel of their choice, and in avoiding the duplicate expense and time-consuming effort involved in replacing counsel already familiar with the case.'" (*Doe v. Yim* (2020) 55 Cal.App.5th 573, 583 quoting *Smith, Smith & Kring v. Superior Court* (1997) 60 Cal.App.4th 573, 580-81 (Doe v. Yim).) "[T]rial judges must indicate on the record they have considered the appropriate factors and make specific findings of fact when weighing the conflicting interests in recusal motions." (*Ibid.*)

The Motion is fatally flawed. Defendant's declaration does not state that it is based on personal knowledge: "I have read the foregoing Motion to Disqualify Counsel and know the contents thereof. I am informed and believe that the matters stated therein are true and on that ground, I allege that they are true." Defendant April Watrous lacks personal knowledge for the statements in her declaration. She does not state that she has knowledge of this information but instead that she has been informed that this information is true. Indeed, she asserts no basis for how she could know this information, except through hearsay from non-declarant parties, which is confirmed by the Declaration of Everett Watrous III. Defendants' Reply seems to confirm this lack of personal knowledge, as it indicates that her statements are all premised on her review of documents.[2] Whether those documents contain any competent evidence of conflict would be a different question, but placed before the Court in this format, they are, at most, hearsay. As Plaintiff contends, April Watrous's declaration is therefore not competent evidence of any conflict. Evid. Code § 702.

There is no competent evidence that Counsel del Beccaro ever represented CMM Systems, Inc. or has any knowledge with respect to CMM Systems, Inc. All competent evidence suggests he was, and remains, Everett Watrous III's personal lawyer. Indeed, even Defendants' cross-complaint, at paragraph 10, characterizes the Stock Purchase Agreement as between the two individuals. Aside from the vague and unsubstantiated allegations in the declaration, Defendants cite *absolutely no law or facts* in support of the assertion that the representation of Plaintiff Watrous III in a sale of his shares was necessarily a representation of the corporation. To the extent that Defendants wish to depose Counsel del Beccaro as to "contested issues regarding the contract's interpretation," that would seem to run squarely into trampling on the fact-finder's role in interpreting the disputed contract and not be admissible in any event. To the extent that Defendants wish to depose Counsel regarding intent or negotiations, he would possess no relevant factual information beyond that of Plaintiff Watrous III, as he never spoke with Defendants.

For the reasons set forth above, Defendants' Motion is **denied.** The Court declines to award sanctions.

7. 9:00 AM CASE NUMBER: C25-02843
CASE NAME: JULIANO SILVA VS. JAMES RIVER INSURANCE
HEARING IN RE: PETITION TO ASSIGN CASE NUMBER AND TO SET REASONABLE DEPOSITION FEE
FILED BY:
TENTATIVE RULING:

This matter comes before the Court in a slightly unusual procedural posture. The parties appear to have proceeded straight to arbitration without any filing in this Court.[3] When a dispute about expert fees arose, however, the arbitrator apparently determined that it should be resolved in Superior Court, so Claimant has filed a stand-alone motion. Claimant Juliano Silva sought to take the deposition of Respondent James River Insurance's expert, Dr. Robert Rovner. They now seek to reduce the fee, arguing that it was not reasonable. Both parties submitted briefing and declarations. As further explained below, Claimant's motion is **granted**.

[2] That the brief makes this claim does not save the declaration, as the declaration itself remains entirely vague as to the basis of the statements within it. Counsel cannot rescue a faulty declaration with statements in a brief.

[3] The Court saw some discussions in the papers about how the matter arrived in arbitration—nothing written here is intended to express any findings or opinions on that issue.

Claimaint Silva was injured in a vehicle collision. Respondent James River Insurance apparently disputes the extent of Claimant Silva's injuries. As part of the dispute, Respondent hired Dr. Robert Rovner to perform an Indepenent Medical Exam, which occurred on July 24, 2023. In late 2024 through early 2025, the parties negotiated the timing of and eventually the occurrence of Dr. Rovner's deposition. Respondent requested that the deposition occur after business hours so that Dr. Rovner did not need to close his clinic to participate. Claimant did not agree, but set the deposition for 4:00 pm for it to go for "a couple of hours." Pursuant to his rate sheet, Dr. Rovner typically charges $6,600 minimum for a half-day deposition during business hours, and $1,475 per hour of deposition (presumably off-hours). For this deposition, given Claimant's objections, Dr. Rovner agreed not to charge his minimum of $6,600 but instead charged $2,950 for the first hour of the deposition and $1,475 for the second hour. Shortly before the deposition, Claimant again objected to Dr. Rovner's fee but the deposition proceeded, took place for two hours, and Claimant sought relief afterward.

In support of his Motion, Claimant has submitted the rate sheets of two other experts—his experts in this matter—a chiropractor who performs Independent Medical Examinations, Alireza Bagherian, and a spinal doctor who also performs IMEs, Dr. Santi Rao. Alireza Bagherian charges $850 per hour for depositions (with a two-hour minimum, charged in 30-minute increments) and $600 per hour for IMEs. Dr. Rao charges $985 per hour for depositions (with a one-hour minimum) and $950 per hour for IMEs. It is also the case that Dr. Rovner charges $990 per hour for record review, report preparation, and IMEs.

At his deposition, Dr. Rovner could not explain how he set the $990 per hour rate but did confirm that closing his clinic for deposition testimony was the reason for the elevated rate for the first hour in this matter.

The sole question before the Court is whether Dr. Rovner's rate is reasonable and customary and therefore chargeable to claimant. A party taking the deposition of the opposing party's expert must pay that expert's fee. Code Civ. Pro. §§ 2034.450, 2034.460. If, however, the deposing party believes the expert's fee is unreasonable, it can petition to the court for the setting of a reasonable fee. Code Civ. Pro. § 2034.470(a). The parties must meet and confer, including by exchanging information regarding "(1) Proof of the ordinary and customary fee actually charged and received by that expert for similar services provided outside the subject litigation. (2) The total number of times the presently demanded fee has ever been charged and received by that expert. (3) The frequency and regularity with which the presently demanded fee has been charged and received by that expert within the two-year period preceding the hearing on the motion." Code Civ. Pro. § 2034.470(b). The court may agree that the fee is reasonable or, if it disagrees, set a reasonable fee. Code Civ. Pro. § 2034.470(f).[4]

The first question is whether this is Dr. Rovner's customary fee. Although Claimant raises a few objections in this area, it is not a hard question. It is clear from Exhibits A and E that the fee charged was consistent with Dr. Rovner's practice of charging $1,475 for evening hours depositions and more for work-hours depositions. Although throughout the exhibits and the briefs, Claimant argues that depositions must occur during business hours, the only citation provided says nothing of the sort:

[4] Unfortunately, the parties' briefs are both unencumbered by citations to authority; they both cite a single case for essentially the same formative principles. A quick perusal of common treatises revealed relevant additional authority of assistance to the Court.

There is nothing in Code of Civil Procedure section 2025.270 that says a deposition must be during "reasonable business hours."[5] Although it is the case that Dr. Rovner charged Respondent a lower rate, that was for different work: the IME and record review rate of $990 was in his rate sheet and was not specific to this case. Moreover, Claimant's experts also charge different rates for IMEs versus deposition time. Contrary to Claimant's unsupported assert, "variations in fee charges are appropriate, and that the expert's charges to an opposing party for deposition testimony can be greater than his standard charges." (*Rancho Bernardo Development Co. v. Superior Court* (1992) 2 Cal.App.4th 358, 362.)

The second question is the more relevant one: Is Dr. Rovner's rate reasonable? First, while he explained that business hours depositions cost him clinic time, that explanation does not explain why IMEs—which also can potentially occur during business hours—are not similarly priced differently depending on when they occur. He could not defend the actual amounts of his different rates. More importantly, however, Respondent has wholly failed to comply with 2034.270(c) and (d), which provide:

> (c) In addition to any other facts or evidence, the expert or the party designating the expert shall provide, and the court's determination as to the reasonableness of the fee shall be based on, proof of the ordinary and customary fee actually charged and received by that expert for similar services provided outside the subject litigation.
> (d) In an action filed after January 1, 1994, the expert or the party designating the expert shall also provide, and the court's determination as to the reasonableness of the fee shall also be based on, both of the following:
> (1) The total number of times the presently demanded fee has ever been charged and received by that expert.
> (2) The frequency and regularity with which the presently demanded fee has been charged and received by that expert within the two-year period preceding the hearing on the motion.

Without that information, the Court can make no determination that Dr. Rovner's fee is reasonable. Claimant provided two experts from which the Court could "consider the ordinary and customary fees charged by **similar experts for similar services** within the relevant community and any other factors the court deems necessary or appropriate to make its determination." Respondent provided an unsupported assertion that "There are many retained orthopedic experts, even some treating physicians, that charge up to $3,000 per hour." Supporting evidence of this assertion would have been useful information for the Court's analysis. Given the only evidence before this Court, there is no contrary conclusion but that Dr. Rovner's fee is unreasonable. The Court finds that **$1000 per hour** is reasonable—on the basis of his other rates and the shared concept that depositions should garner a slightly higher fee than IMEs.

The Court ends by noting that *Dr. Rovner* is not without recourse:

> [N]othing in section 2034, subdivision (i)(2) or subdivision (i)(4) provides that a court's determination of the "reasonable" fee a deposing party must pay for deposing an

[5] The only reference the Court could find in the Code to those words was in section 2020.430, regarding custodians of records.

> expert witness precludes that expert witness from charging or receiving from his or her client any balance or "unreasonable" portion of his or her fee. On the contrary, we conclude section 2034 transfers to the deposing party only those fees of the expert to the extent they are 'reasonable.' Any fees charged by the expert in excess of the "reasonable" fee determined by the court remain a matter of negotiation and agreement between the expert witness and the party that designated the expert witness.

(*Marsh v. Mountain Zephyr, Inc.* (1996) 43 Cal.App.4th 289, 300.) That James River Insurance contracted with a doctor with an unreasonable fee—on the evidence before the Court—does not mean that Juliano Silva should pay it. It also, does not mean, however, that Dr. Rovner is not entitled to his contractual payments. James River must refund the overage to Claimant Silva and Dr. Rovner may only charge the amount found by this Court to be reasonable at any further depositions.

8. 9:00 AM CASE NUMBER: C25-03558
CASE NAME: SNIR BEN SHLOUSH VS. JACOB ZAITLIS
HEARING ON ORDER TO SHOW CAUSE IN RE: WHY A PRELIMINARY INJUNCTION SHOULD NOT BE GRANTED REQUESTED BY PLAINTIFF'S
FILED BY:
<u>*TENTATIVE RULING:*</u>

Plaintiff Snir Ben Shloush's request for a preliminary injunction is **denied** for the following reasons.

Background and Procedural History

Plaintiff Snir Ben Shloush and defendant Jacob Zaitlis are co-founders and co-shareholders of nominal defendant Creekside Pro Construction Inc. ("Creekside"), a California licensed general contractor based in Pleasant Hill. Plaintiff and defendant each hold 40% of Creekside's shares; the third shareholder, Randolph M. Dinga, holds the remaining 20% in his capacity as Responsible Managing Officer ("RMO"), whose construction license qualifies Creekside for a B license from the California Contractors State License Board ("CSLB"). Defendant Zaitlis is also Creekside's CEO and director. Plaintiff sues individually and derivatively on Creekside's behalf. Defendant Craftsman Home Contractors ("Craftsman") is a California corporation incorporated by Zaitlis on July 17, 2025, with its principal place of business in Pleasant Hill; it was licensed by the CSLB on August 18, 2025, and, according to Zaitlis, was dissolved in January 2026 before performing any work or generating any income. (FAC ¶¶ 5, 7, 8, 9, 10, 85; Cross-Complaint ¶¶ 3, 9–10; Zaitlis Decl. ¶ 37, Exhs. E–F.)

Shloush declares that he and Zaitlis co-founded Creekside in July 2021, with plaintiff managing field operations and Zaitlis handling office operations, and entered into an RMO Agreement with Dinga on July 12, 2021. (Shloush Decl. ¶ 1; FAC ¶ 2.) Shloush declares that as of July 1, 2025, Creekside had over four years of operating history, over 100 five-star reviews, and was fully staffed with office personnel, a production manager, and a sales force. (Shloush Decl. ¶ 3.c.iv., Exh. 6.) Shloush declares that in June 2025, while the parties' dispute was already underway, defendant sent plaintiff a WhatsApp message stating that Creekside's organic lead channels had opened up, that the HOZIO leads were higher quality and cost less money, and that Creekside could easily sell over $1,000,000 per month if finance was used properly. (Shloush Decl. ¶ 3.c.ii., Exh. 3.)

Broker valuations obtained in September 2025 placed Creekside's value at between $1,000,000 and $1,809,873, not including Creekside's cash on hand and other tangible assets. (Shloush Decl. ¶ 3.c.iii., Exhs. 4–5; FAC ¶ 73.) The verified FAC further alleges that Creekside employed multiple staff including three dispatch workers, a production manager, a foreman, and a six-person sales force, and carried approximately $600,000 in its bank account. (FAC ¶¶ 18, 19.)

Shloush contends that the parties mutually agreed to expand into the Dallas, Texas market, leading to the formation of a Texas LLC on December 17, 2024 (the "Texas Company"), and that plaintiff relocated to Dallas on or around January 14, 2025, and began setting up operations. (FAC ¶¶ 20, 23, 24.) Shloush contends that Creekside agreed to fund the Texas Company's expenses and that he met with 35 prospective customers in less than five months, converting one lead to a sale on or around March 7, 2025, for a contract price of $24,770, generating a net profit of $3,875, though the leads provided were low quality and shared with competing contractors. (FAC ¶¶ 25, 27, 28, 39.) In late February 2025, plaintiff and his domestic partner traveled to Israel for approximately one month due to a family bereavement, with defendant's knowledge and agreement, returning to Dallas on or around April 30, 2025. (FAC ¶¶ 35, 36.)

Shloush declares that on or around May 21, 2025, defendant called him and stated he no longer wanted to be partners, which Shloush experienced as coming out of nowhere. (Shloush Decl. ¶ 4.a., Exh. 13.) Despite this, Shloush declares he still trusted defendant as a friend and believed things would work out fairly, noting their messages remained friendly and they referred to each other as brothers. (Shloush Decl. ¶ 4.b., Exh. 14.) The verified FAC further alleges that Zaitlis threatened repeatedly during that call to dissolve Creekside and open a competing business. (FAC ¶ 46.) The Texas Company was officially closed on May 28, 2025, and defendant took back the capital loan of approximately $40,000 that Creekside had extended to him. (FAC ¶ 50.)

Shloush declares that he always provided defendant with two options: either defendant receive additional compensation to run Creekside, or buy out plaintiff's interest, and that after defendant rejected the buyout idea, the parties also attempted to sell Creekside through brokers. (Shloush Decl. ¶ 4.c.) The parties executed a written management agreement (the "Agreement") signed on or around July 4, 2025, retroactive to June 1, 2025, under which defendant assumed primary responsibility for day-to-day operations, sales, and client relations, and was to receive additional compensation of 2–3% of gross sales in addition to his regular salary, with the rate increasing upon reaching milestones. (Shloush Decl. ¶ 4.c.i. Exh. 15; FAC ¶¶ 53, 95, 97.) The verified FAC alleges plaintiff fully performed his obligations under the Agreement, or was excused from performance. (FAC ¶ 96.)

During negotiations of the Agreement, Shloush declares that Zaitlis provided him two options: either he return to San Francisco and work for the Creekside or agree to defendant's terms for compensation. If neither option suited plaintiff, Shloush declares that Zaitlis threatened he would drastically cut all of Creekside's expenses, fire everyone if necessary, close all jobs, and start building a new competing company. Shloush declares that defendant stated explicitly he would not buy plaintiff out because he preferred to open something new that was his own, that he was already opening a company, and that if plaintiff did not agree to his payment percentages he would immediately stop investing his time in Creekside. (Shloush Decl. ¶ 4.d., Exhs. 17–18.)

Shloush declares that Zaitlis incorporated Craftsman on July 17, 2025, and registered it with the CSLB on August 18, 2025, while still managing Creekside under the Agreement. (Shloush Decl. ¶ 3.a. FAC ¶¶ 61, 108.) Shloush further declares that beginning in June 2025, defendant took a series of actions to reduce Creekside's value in a pattern he characterizes as calculated and progressive: On June 5, 2025, Zaitlis reduced the Yelp budget and closed Thumbtack; on August 19, 2025, Zaitlis confirmed cancellation of the premium Yelp account, stating it was not worth it and was a waste of money; on August 22, 2025, Zaitlis told Shloush he was thinking of canceling the HOZIO SEO account and investing the $4,000 monthly cost into Meta ads instead, but then never increased the Meta budget after canceling HOZIO; and on October 21–22, 2025, Zaitlis reduced the Meta advertising budget from $8,000 to $3,000. (Shloush Decl. ¶ 4.e., Exhs. 19–22.) Shloush characterizes this as defendant taking a devaluing action approximately every two months starting in June 2025, in a calculated attempt to extinguish his obligations to plaintiff and keep all of Creekside's value for himself without buying out plaintiff's interest at fair market value. (Shloush Decl. ¶ 4.e.iii.)

On August 18, 2025, Shloush declares he proposed hiring an office manager to run Creekside during the broker sale process, offering to fly to San Francisco himself to conduct the training; defendant rejected the idea, stating he was not going to deal with training a manager or giving someone else responsibility, that he did not believe anyone would want the job if Creekside would be shut down or sold, and that he had no problem managing Creekside and not touching the employees during that year. (Shloush Decl. ¶ 3.d., Exh. 7.) Shloush characterizes this as an implicit admission that defendant planned to eventually usurp Creekside's employees. (*Id*.)

Shloush further declares that defendant used a Creekside iPhone for Craftsman, which defendant admitted in a message on October 21, 2025, and that when plaintiff objected, defendant threatened to withhold approximately $5,500 he owed plaintiff if plaintiff continued to raise the issue. (Shloush Decl. ¶ 4.g., Exh. 24.) Shloush also declares that defendant concealed that Creekside's new office lease included Craftsman as a co-tenant and listed Suite 244 as Craftsman's principal address with the Secretary of State, which plaintiff alleges was an improper alteration intended to allow Craftsman to list the address for a Google business listing. (Shloush Decl. ¶ 4.h., Exhs. 25–28.)

Shloush declares that defendant misappropriated Creekside funds by withdrawing $209,032.99 on November 12, 2025, and $5,900.00 on November 14, 2025, from Creekside's checking account ending in x1508, and $2,814.65 from its checking account ending in x5699; that defendant instructed Creekside's accountant to withhold plaintiff's salary; and that defendant blocked plaintiff's access to four company email accounts and multiple messaging groups. (Shloush Decl. ¶ 3.e., Exhs. 8–11.) Shloush further declares that on November 17, 2025, before any dissolution vote, defendant sent a message to Creekside's WhatsApp office group stating that Creekside would no longer be taking in any new projects. (Shloush Decl. ¶ 3.b., Exh. 1.) The verified FAC additionally alleges, based on events occurring between October and November 2025 and many pleaded on information and belief, the following: defendant submitted a report that plaintiff's company truck was stolen; defendant sent plaintiff notices accusing him of misconduct including reference to a two-year-old DUI; defendant used a Creekside employee as the RMO for Craftsman; and with respect to credit card transactions defendant reported as fraud on October 8, 2025, plaintiff alleges that defendant actually used

Creekside's credit card to misappropriate funds for Craftsman. (FAC ¶¶ 76, 77, 83.) The verified FAC also alleges that defendant used Creekside's Vistaprint account to purchase materials for Craftsman on July 30 and again on August 27, 2025. (FAC ¶¶ 63, 70.)

Shloush declares that defendant offered only $300,000 for plaintiff's 40% interest in early July 2025, despite Creekside holding over $600,000 in its bank account and having been appraised at $1.02–1.8 million by two brokers in September 2025, and that defendant refused to sign a non-compete agreement required by the brokers, thereby preventing a third-party sale. (FAC ¶¶ 58, 73, 74; Shloush Decl. ¶ 4.h.ii.)

The FAC alleges that on or around November 25, 2025, defendant sent a Notice of Shareholder Meeting, originally scheduled for December 9, 2025 and rescheduled to December 11, 2025, which falsely represented that plaintiff and defendant were each 50% owners when defendant knew they each held 40% and the RMO held 20%. (FAC ¶ 85.) Plaintiff alleges this misrepresentation was intended to surprise plaintiff at the meeting and ensure a majority vote for dissolution. (Id.) Although plaintiff was aware of the actual ownership percentages, he was uncertain whether defendant planned to have the RMO attend given the notice's representation of 50/50 ownership. (FAC ¶ 86.) As a precaution, plaintiff's counsel attempted to contact the RMO to advise him to abstain from voting unless he became informed of the ongoing dispute, but received no response. (FAC ¶¶ 87–88.) At the December 11, 2025 meeting, defendant and the RMO voted to dissolve the Company over plaintiff's objection. Plaintiff alleges that during the meeting defendant continuously avoided discussing whether dissolution was in the Company's best interest, and that the stated reason for dissolution was simply that defendant did not wish to operate the Company without plaintiff's involvement. (FAC ¶ 88.) Through counsel, plaintiff argued at the meeting that dissolution was not in the Company's best interest because it was a well-established business that could be made self-sufficient by training an office manager. (FAC ¶ 89.)

The FAC pleads nine causes of action: (1) breach of contract; (2) breach of fiduciary duty; (3) conversion and misappropriation of corporate assets; (4) violation of Business and Professions Code § 17200; (5) constructive fraud; (6) fraud; (7) breach of the implied covenant of good faith and fair dealing; (8) tortious interference with contract; and (9) accounting. (FAC ¶¶ 93–157.) Causes 2 through 4 and 6 through 9 seek punitive damages. (FAC Prayer ¶ C.) Plaintiff seeks compensatory damages of approximately $500,000–$900,000 for harm to his ownership interest, plus approximately $200,000 in dividends, lost salary, and lost opportunity value from an RMO qualification. (FAC ¶¶ 102, 111, 117, 123, 132, 141, 154.) Plaintiff alternatively seeks a forced buyout at fair market value or imposition of a constructive trust over Craftsman and related assets, restitution and disgorgement, punitive damages on applicable claims, attorney fees, prejudgment interest, and such other relief as the Court deems proper. (FAC Prayer ¶¶ A–F.)

In a cross-complaint filed on January 14, 2026, and in his declaration filed March 15, 2026 in opposition to the preliminary injunction, defendant Zaitlis presents a materially different account of the same events, alleging that it is Shloush, not Zaitlis, who has breached his fiduciary duties and misappropriated corporate assets. Zaitlis sues individually and derivatively on behalf of Creekside, with Creekside named as a nominal cross-defendant for purposes of the winding up proceeding. (Cross-Complaint p. 1.)

Zaitlis declares that he and Shloush formed Creekside in July 2021 as a California close corporation with equal ownership, agreeing that Shloush would focus on sales and Zaitlis on office administration, and that neither would be paid commissions but would split profits evenly. (Zaitlis Decl. ¶¶ 2–4; Cross-Complaint ¶ 8.) In 2023, Creekside generated revenue of approximately $1,650,000, and in 2024 revenue increased to approximately $3,700,000. (Zaitlis Decl. ¶ 5.) Approximately two years into the business, Shloush demanded revised compensation arrangements to be applied retroactively, asserting he deserved greater compensation because he was generating income through sales. Zaitlis declares he agreed, against his own position, to pay Shloush $200,000 in extra compensation for prior completed sales to preserve their working relationship. (Zaitlis Decl. ¶ 6; Cross-Complaint ¶ 11.) The cross-complaint additionally alleges that in addition to demands for extra compensation, Shloush caused other problems, including that he was arrested twice for driving under the influence while operating a Creekside truck, resulting in the truck being equipped with a breathalyzer, and that on multiple occasions Shloush recruited Creekside employees or third parties to breathe into the device because he had been drinking. (Cross-Complaint ¶ 12.)

Zaitlis declares that between September 2023 and September 2024, Shloush spent roughly four months traveling and visiting family outside the United States, and that between September 25 and November 3, 2024, Shloush went on an extended vacation during which he was largely unavailable, leaving Zaitlis to handle day-to-day operations alone. (Zaitlis Decl. ¶ 7; Cross-Complaint ¶ 13.) Shortly after that vacation, Shloush informed Zaitlis that he and his wife wanted to move to Texas to be closer to a larger Jewish community and to start fresh, and demanded that the parties open a Texas branch of Creekside. (Zaitlis Decl. ¶ 8.) Zaitlis declares he proposed that Shloush instead relocate within the Bay Area, including to the San Jose area, where the company had opportunities for growth. (Zaitlis Decl. ¶ 8.) Zaitlis ultimately agreed to the Texas option to maintain their relationship, though he characterizes his consent as materially different from a joint decision to expand. (Zaitlis Decl. ¶ 9; Cross-Complaint ¶ 14.) Zaitlis's account of the Texas Company's formation is largely consistent with plaintiff's (CPC Texas was formed in December 2024 with 50/50 ownership) although he contends the parties expended between $40,000 and $50,000 of Creekside funds on it rather than the $40,000 figure plaintiff alleges. (Zaitlis Decl. ¶ 10; Cross-Complaint ¶ 15.)

Zaitlis declares that although Shloush received approximately 35 sales appointments in the early months of 2025, he obtained only one contract, a single remodel project signed in March 2025 with a projected profit of approximately $5,000, reflecting an extremely low closing rate, and that this was the only contract Shloush ever obtained for CPC Texas. (Zaitlis Decl. ¶ 12; Cross-Complaint ¶ 17.) Zaitlis further declares that in March 2025, Shloush purchased investment real estate in Texas in his own name without offering Zaitlis or Creekside an opportunity to invest, and used Creekside's DocuSign account to sign a tenant lease for the property. (Zaitlis Decl. ¶ 13; Cross-Complaint ¶ 18.) Between April 1 and April 29, 2025, Shloush traveled to Israel and did not participate in the business of either Creekside or CPC Texas during that time. (Zaitlis Decl. ¶ 14; Cross-Complaint ¶ 19.)

In mid-May 2025, Zaitlis advised Shloush that the Texas expansion was not working financially, that the company was losing money there, and asked Shloush to return to the Bay Area. (Zaitlis Decl. ¶ 15.) Zaitlis also told Shloush he was feeling overwhelmed managing Creekside largely on his own and did not want to continue running a company of that size by himself. (Zaitlis Decl. ¶ 16.) Zaitlis states he was not interested in buying out Shloush's interest because he believed Shloush's proposed price was far higher than what the company was worth. Shloush responded that he had already made the move to Texas, intended to remain there, planned to work as a sales representative for another company in Texas, and planned to form his own company there. (Zaitlis Decl. ¶ 17.)

Zaitlis declares that in or about June 2025, Shloush formed Forge Legacy Design & Build LLC in Dallas, Texas, and that he is informed and believes Shloush immediately began using Forge Legacy to engage in remodel work in Texas instead of providing that work to CPC Texas. That same month, Zaitlis became aware that Shloush was working as a sales representative for another Texas company and believes Shloush sold at least two remodeling projects for that company, and that in connection with those projects Shloush used a Creekside design software subscription to prepare 3D design renderings without Zaitlis's consent, and also used a company phone, computer, and truck while conducting that outside business activity. (Zaitlis Decl. ¶ 19; Cross-Complaint ¶ 20.)

Also in or about June 2025, the parties met to discuss potentially shutting down Creekside and agreed to explore a third-party sale, with Shloush taking responsibility for locating a broker; Zaitlis declares Shloush did not move forward promptly on that responsibility. (Zaitlis Decl. ¶¶ 20–21.) The parties entered into a Management Agreement with an effective date of June 1, 2025, under which Zaitlis would temporarily continue managing operations while the parties explored selling the business. (Zaitlis Decl. ¶ 22.) At or about the same time, Zaitlis declares, the parties agreed that each would begin moving forward with their own separate business paths, and each informed the other that they he intended to pursue their own business opportunities. (Zaitlis Decl. ¶ 23.) In July 2025, Zaitlis formed Craftsman. (Zaitlis Decl. ¶ 24.)

In mid-August 2025, Zaitlis declares the parties agreed that each could use photos of Creekside projects to promote their respective new businesses, and Zaitlis provided Shloush with three months' notice of his intention to begin taking leads to Craftsman as required under the Management Agreement, making clear he was not taking any Creekside client information, leads, or project opportunities to Craftsman, and that in fact he never did so. (Zaitlis Decl. ¶ 26.)

In late September 2025, the parties discussed hiring a broker to sell Creekside, but Zaitlis states he could not agree to sign a non-compete agreement because he needed to earn income for his family. (Zaitlis Decl. ¶ 27.) In October 2025, Shloush demanded that Zaitlis sign the non-compete and move his family out of the Bay Area, which Zaitlis rejected. Later that month, Zaitlis sent Shloush a formal notice advising that he had previously given notice on August 12, 2025, that he would cease managing Creekside, and recommending that the parties begin winding down operations. (Zaitlis Decl. ¶ 28.) Zaitlis declares that throughout this period he generated over 70% of Creekside's revenue, trained staff, created advertisements, and kept operations running, at significant cost to his health. (Zaitlis Decl. ¶ 29; Cross-Complaint ¶ 21.)

On November 5, 2025, Zaitlis received a demand letter from Shloush's counsel making allegations against him and threatening litigation. (Zaitlis Decl. ¶ 31. Exh. C.) In November 2025, Shloush accessed Creekside's bank account and took $1,975 as a commission on the single CPC Texas project—which contends was an overpayment of $1,500—without properly closing out the project file in the CRM system. Creekside's production manager Lindsay Foley attempted to contact Shloush multiple times to obtain information needed to close the file but received no response. (Zaitlis Decl. ¶ 32; Cross-Complaint ¶ 23.) That same month, Shloush used Creekside's credit card for unknown charges without providing receipts. (Zaitlis Decl. ¶ 34; Cross-Complaint ¶ 23.) The cross-complaint additionally alleges that Shloush engaged in conduct designed to harm Creekside including by canceling Zaitlis's cell phone contract and terminating Creekside's bookkeeper. (Cross-Complaint ¶ 22.)

On December 11, 2025, Dinga and Zaitlis voted to dissolve Creekside, with the motion passing by a 60% vote; Shloush voted against. (Zaitlis Decl. ¶ 36; Cross-Complaint ¶ 24; Exh. A.) In January 2026, Zaitlis took steps to dissolve Craftsman, attaching as exhibits the dissolution filing with the California Secretary of State and the contractor's license detail showing the license was cancelled as of January 12, 2026. Zaitlis states that due in part to legal expenses associated with this dispute he is not in a position to invest in starting and operating a new company. (Zaitlis Decl. ¶ 37, Exhs. E–F.)

With respect to the transfer of funds, Zaitlis declares that after Shloush took the $1,975 from Creekside's bank account, Zaitlis closed that account and moved the funds to a new Creekside account to protect the company's operating capital for remaining projects and to protect the company's reputation and his professional standing with the CSLB. (Zaitlis Decl. ¶ 38.) His intention was that Shloush would continue to have access to financial information through the bookkeeper, but that after the transfer Shloush instructed the bookkeeper to stop working on Creekside's accounting, which created additional operational difficulties including complications with payroll, W-2 and 1099 preparation, and tax filings, requiring Creekside to request filing extensions from both the IRS and the state. (Zaitlis Decl. ¶¶ 39–41.)

Since moving the funds, Zaitlis declares he has provided Shloush with month-end ledgers showing all transactions in the Creekside account. (Zaitlis Decl. ¶ 43.) With respect to specific transactions questioned by Shloush's counsel, Zaitlis explains that Checks #79 and #80 represent commissions for projects he personally sold and managed under the company's longstanding commission structure, and that Check #90 represents payroll compensation for his ongoing work managing the company's operations. (Zaitlis Decl. ¶¶ 44–45.) He states that credit card payments in the ledger correspond to company operating expenses including materials, software, permits, utilities, and other operational costs. (Zaitlis Decl. ¶ 47.) He further states that he has granted Shloush full access to the company CRM system and project files, that Shloush has not logged in to review the information, and that he is open to a line-by-line review of all credit card transactions with Shloush's counsel. (Zaitlis Decl. ¶¶ 48–50.) He notes that Shloush has not provided statements or explanations for transactions on Shloush's own company credit card. (Zaitlis Decl. ¶ 51.)

Zaitlis states that Creekside currently has two projects waiting for permits and eleven projects in progress, that he estimates completion of all projects between July and September 2026, and that once all projects are completed and final expenses paid, any remaining funds will be shared 50/50 with Shloush. (Zaitlis Decl. ¶ 52.)

The cross-complaint pleads five causes of action against Shloush: (1) breach of fiduciary duty, based on Shloush's alleged placement of personal interests ahead of corporate interests, refusal to work on corporate projects, diversion of business opportunities to Forge Legacy, use of Creekside assets to operate Forge Legacy, actions to harm Creekside such as firing the bookkeeper and taking funds from Creekside accounts; (2) conversion, based on the $1,500 alleged overpayment from Creekside's bank account and diversion of sales leads to Forge Legacy; (3) injunctive relief to prevent Shloush from using wrongfully obtained funds, interfering with Creekside's operations, communicating with

Creekside customers or subcontractors, or accessing Creekside's accounts; (4) declaratory judgment that Creekside is in the winding up phase following the December 11, 2025 dissolution vote; and (5) a petition under Corporations Code section 1904 for court supervision of the voluntary winding up of Creekside to protect Zaitlis's 40% interest. (Cross-Complaint ¶¶ 25–43; Prayer ¶¶ 1–10.)

On January 9, 2026, plaintiff filed an ex parte application for a temporary restraining order and an order to show cause re preliminary injunction, supported by the declaration of Snir Ben Shloush. Plaintiff requests the following relief: (a) an injunction enjoining defendant and his agents from taking any further steps to wind up, dissolve, or liquidate Creekside; (b) an injunction enjoining defendant from transferring, dissipating, or encumbering any Creekside assets; (c) an injunction enjoining defendant from continuing operations of Craftsman; (d) an order requiring an immediate accounting and return of the approximately $215,000 withdrawn from Creekside's bank account, or alternatively access to the bank account currently containing those funds; (e) an order requiring defendant to preserve all books, records, and electronic data of both Creekside and Craftsman; and (f) an order requiring defendant to pay plaintiff's past and future unpaid salary of $5,000 per month. (Ex Parte App. pp. 1–2; Barzilai Decl. ¶ 10.)

On January 12, 2026, defendant filed a limited opposition arguing there was no urgency and no valid basis for a TRO, contending that the business deteriorated after Shloush moved to Texas and essentially abandoned his role, that the dissolution vote was proper under Corporations Code section 1900(a), that he has not done any work or generated any income through Craftsman, that he moved Creekside's funds to a new account rather than stealing them, and that he objects to paying Shloush any salary because Shloush is not providing any services to Creekside. On January 13, 2026, the Court denied the TRO but issued an Order to Show Cause re preliminary injunction, setting a hearing for March 26, 2026, with defendant's opposition due March 15, 2026, and plaintiff's reply due March 19, 2026.

On March 15, 2026, defendant filed a memorandum of points and authorities in opposition to the preliminary injunction, supported by the Zaitlis declaration, arguing that plaintiff cannot demonstrate likelihood of success on the merits, that plaintiff's injuries are purely economic and compensable by money damages, that the balance of equities favors defendant, and that the accounting and salary requests constitute mandatory injunctive relief subject to a heightened standard that plaintiff has not met.

Plaintiff did not file a reply brief.

Legal Standard

"As its name suggests, a preliminary injunction is an order that is sought by a plaintiff prior to a full adjudication of the merits of its claim." (*White v. Davis* (2003) 30 Cal.4th 528, 554 (emphasis omitted).) "In determining whether to issue a preliminary injunction, the trial court considers: (1) the likelihood that the moving party will prevail on the merits and (2) the interim harm to the respective parties if an injunction is granted or denied. The moving party must prevail on both factors to obtain an injunction." (*Pittsburg Unified School Dist. v. S.J. Amoroso Construction Co., Inc.* (2014) 232 Cal.App.4th 808, 813-814.)

"The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other...." (*Church of Christin Hollywood v. Superior Court* (2002) 99 Cal.App.4th 1244, 1251-1252.) The burden is on the party seeking injunctive relief to show all elements necessary to support issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.)

Analysis

Irreparable Harm

Plaintiff argues three categories of irreparable harm. First, he contends that dissolution of a going-concern business causes harm that cannot be compensated in damages because once the Company's goodwill, client relationships, trained employees, and operational systems are dissipated they cannot be restored, and his primary remedies of a forced buyout at fair market value or a constructive trust will be impossible to effectuate. Second, he contends that defendant will complete the transfer of Creekside's value to Craftsman, rendering a constructive trust remedy impossible for lack of a res. Third, he contends that if the Company ceases operations before he has held RMO status for one additional year, he will lose the opportunity to qualify up to three construction companies in California, a harm he characterizes as difficult to ascertain financially.

Injunctions will rarely be granted where a suit for damages provides a clear remedy. (*Thayer Plymouth Center, Inc. v. Chrysler Motors* (1967) 255 Cal.App.2d 300, 307; Pacific Decision Sciences Corp v. Superior Court (2004) 121 Cal.App.4th 1100, 1110.) "An injunction will not issue where 'only money is involved'" because "there is no threat of irreparable harm, because monetary losses are compensable in damages." (*Doyka v. Superior Court* (1991) 233 Cal.App.3d 1134, 1136.)

As to the first argument, plaintiff's own verified complaint quantifies his alleged losses with considerable specificity at between $500,000 and $900,000 for harm to his ownership interest, plus approximately $200,000 in dividends and lost salary. That plaintiff has placed a dollar figure on his losses undermines the assertion that they cannot be adequately compensated at trial. Moreover, plaintiff's primary remedy of a forced buyout is itself a monetary remedy, presupposing that the value of his interest is ascertainable and compensable in money. That the Company may be worth less at the time of judgment than at its peak goes to the measure of damages, not to the adequacy of the legal remedy.

As to the second argument, defendant has submitted uncontested evidence that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before it performed any work or generated any income. The threat of imminent asset transfer to an active competing entity is not supported by the current record.

As to the third argument, the alleged harm depends on a chain of contingencies, namely that plaintiff would have obtained RMO status, used it to qualify additional companies, and that those companies would have generated profits, and plaintiff has offered no evidence quantifying or substantiating that harm beyond the bare assertion. Speculative harm does not satisfy the irreparable harm requirement.

Probability of Prevailing

Plaintiff identifies five acts in support of his likelihood of success argument: (1) defendant formed a directly competing company, Craftsman; (2) defendant misappropriated over $215,000 in corporate funds; (3) defendant used Company assets to launch Craftsman; (4) defendant devalued the Company by slashing its marketing budgets and closing its lead-generation accounts; and (5) defendant used improper means to vote to dissolve the Company immediately after being served with the complaint in this case. Each of these allegations is directly contested by defendant's declaration.

Plaintiff has not met his burden of demonstrating probable success on the merits.

As to the formation of Craftsman, the record has evolved since the ex parte application was filed. Defendant has submitted uncontested evidence that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before it performed any work or generated any income. (Zaitlis Decl. ¶ 37, Exhs. E–F.) Plaintiff claims the mere formation of a competing business while serving as CEO constitutes a breach of the duty of loyalty under *Xum Speegle, Inc. v. Fields* (1963) 216 Cal.App.2d 546, 554. Defendant responds that California law permits corporate officers to make preparations to compete so long as they do not misappropriate trade secrets, divert corporate opportunities, or act in direct competition during employment, citing *Bancroft-Whitney Co. v. Glen* (1966) 64 Cal.2d 327, 345–46, and further declares that the parties mutually agreed each could open their own business, that he provided three months' notice as required under the Management Agreement, and that he never diverted a single lead, client, or corporate opportunity to Craftsman. On this record, the evidence is evenly balanced and does not permit a finding of probable success on this claim.

As to the $215,000, Plaintiff characterizes the transfer as misappropriation and requests either an accounting and repatriation of the funds or access to the account currently containing them. Defendant declares he moved the funds to a new Creekside corporate account to protect the company's operating capital after Shloush accessed Creekside's bank account in November 2025 and took $1,975 as a commission on the single CPC Texas project when Zaitlis contends the correct commission was $475, and also used Creekside's credit card for unknown charges without providing receipts. (Zaitlis Decl. ¶¶ 32, 34, 38.) Since moving the funds, defendant has provided plaintiff with monthly ledgers, offered access to the account, and offered a review of all credit card transactions. (Zaitlis Decl. ¶¶ 43–51.) In other words, defendant has already voluntarily offered the alternative relief plaintiff requests. Plaintiff did not reply to these representations. The factual dispute as to whether the transfer constitutes misappropriation cannot be resolved on this record in plaintiff's favor at the preliminary injunction stage, and the alternative relief plaintiff seeks has already been offered by defendant without a court order.

As to the reduction of marketing budgets, defendant's business judgment rule argument has force on this record. Defendant declares those decisions were made only after the parties had agreed to separate and wind down, and that they reflected a good-faith decision to preserve funds for completing existing projects rather than investing in new business that a one-man operation could not handle. (Zaitlis Decl. ¶¶ 20–22, 25.) Plaintiff does argue that the reductions were made while the Management Agreement was still in effect and while broker discussions were ongoing, but that argument is contested on this record and cannot be resolved in plaintiff's favor at this stage.

As to the dissolution vote, plaintiff raises a legally cognizable question whether a technically valid 60% shareholder vote can constitute oppressive conduct or a breach of fiduciary duty when the timing and circumstances suggest it was retaliatory. The vote was held days after defendant was served with the complaint and after receipt of plaintiff's shareholder litigation demand, and plaintiff contends no analysis was conducted to determine whether dissolution was in the company's best interest. These allegations may support a claim for damages. Even assuming, however, that plaintiff could establish a probability of success on this theory, injunctive relief halting the wind-down would not undo the dissolution vote, which has already occurred. That relief goes beyond preserving the status quo and constitutes mandatory injunctive relief subject to a heightened standard that plaintiff has not met. "A mandatory injunction is not permitted except in extreme cases where the right thereto is clearly established and irreparable injury will flow from its refusal. (*Board of Supervisors v. McMahon* (1990) 219 Cal.App.3d 286, 295.)

In a case such as this, where the factual record consists of sharply conflicting declarations, the Court cannot find the requisite probability of success on the merits. Plaintiff has not replied to defendant's opposition to the OSC and the Court therefore has only one side of the fully developed record before it at this stage.

Interim Harm

To obtain a preliminary injunction, plaintiff must present evidence of the irreparable injury or interim harm that it will suffer if an injunction is not issued. (*White*, *supra*, 30 Cal.4th at p. 554.) The Court "compares the injury to the plaintiff in the absence of the injunction to the injury the defendant is likely to suffer if an injunction is issued." (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 633.)

Even assuming plaintiff had demonstrated irreparable harm and a likelihood of success on the merits, the Court finds that the balance of harms does not favor issuance of the requested injunction.

Plaintiff's balance of harms argument, as set forth in the ex parte application and the reply to the ex parte opposition, is that without an injunction the Company will be fully wound down and liquidated before judgment, permanently destroying its going-concern value. Plaintiff argues that a business valued at between $1,020,000 and $1,800,000 less than six months before the filing will be reduced to whatever remains after the existing projects are completed and expenses are paid, and that plaintiff's primary remedies, a forced buyout at fair market value and a constructive trust, depend on there being a viable going concern to value. Plaintiff further argues that defendant faces only a minimal burden from issuance of the injunction, since defendant is already completing the existing projects and would simply be required to do so under court supervision rather than winding down entirely, and that temporarily ceasing Craftsman operations imposes no meaningful burden since defendant stated that Craftsman generates no income.

On defendant's side, the balance of harms showing is that issuing the injunction would require defendant to continue operating a company he no longer wishes to run, with no assistance from plaintiff, while bearing CSLB compliance obligations, payroll obligations, and tax filing responsibilities that plaintiff has made more difficult by allegedly instructing the bookkeeper to stop working on the company's accounting. Defendant is currently completing thirteen active projects and managing all subcontractors, customers, employees, and administrative matters entirely on his own, at significant cost to his health. Essentially, plaintiff is asking the Court to compel defendant to remain in business indefinitely pending trial, while plaintiff has been in Texas operating his own construction business, Forge Legacy Design & Build LLC, for over fifteen months. (Zaitlis Decl. ¶¶ 19, 21, 29, 42, 52.)

Plaintiff's balance of harms argument has been undermined by developments in the record that plaintiff has not addressed. Plaintiff had argued he would be irreparably harmed if defendant used the wind-down of Creekside to transfer its goodwill, assets, employees, and operational processes to Craftsman, rendering plaintiff's remedies impossible to effectuate. Defendant has submitted uncontested evidence, however, that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before Craftsman performed any work or generated any income. (Zaitlis Decl. ¶ 37, Exhs. E–F.) The threat of imminent asset transfer to a competing entity which animated plaintiff's moving papers is not supported by the current record.

What remains of plaintiff's irreparable harm argument is the more general contention that dissolution of a going-concern business destroys unique value that cannot be restored through monetary damages. That argument is not without merit, and *Wind v. Herbert* (1960) 186 Cal.App.2d 276 provides some support for it in the context of a fiduciary relationship where a managing partner has control over partnership funds. But it runs into two problems on this record. First, plaintiff's own verified complaint quantifies his alleged damages with specificity, which is difficult to reconcile with the claim that the harm is not compensable by monetary damages.

Second, defendant's uncontested declaration establishes that he has been providing plaintiff with monthly ledgers, has offered full access to the new account, is completing all remaining projects, and intends to distribute any remaining funds to plaintiff on a 50/50 basis upon completion. (Zaitlis Decl. ¶¶ 43, 52.) This record is materially different from Wind, where the managing partner had moved funds to a personal account in his own name, refused all accounting, and made unauthorized disbursements to himself.

Plaintiff relies on *Heckmann v. Ahmanson* (1985) 168 Cal.App.3d 119, 136, for the proposition that a constructive trust remedy becomes ineffectual if the trustee is permitted to dissipate the *res* before judgment. (Reply to Ex Parte Opp., p. 3:20–27.) In that brief, plaintiff argues that the wind-down of Creekside as a going concern is the dissipation that Heckmann guards against, such that once the Company's goodwill, client relationships, employees, and operational systems are dissolved, there will be no res upon which to impose equitable relief. Setting aside that *Heckmann* involved a specific, identifiable fund of money already being spent down through the defendant's ordinary business activities and not the dissolution of a going-concern business, the constructive trust plaintiff actually seeks in the FAC is over Craftsman and related assets stemming from defendant's alleged wrongful diversion of Creekside's value. (FAC Prayer ¶ iii.) Defendant has submitted uncontested evidence that Craftsman was dissolved before performing any work or generating any income, which substantially undermines the premise that Creekside's value was diverted there and that there remains a *res* to protect.

With respect to the mandatory components of plaintiff's requested relief (the accounting and return of approximately $215,000 and the payment of past and future salary at $5,000 per month) the balance tips against the issuance of an injunction. These requests would affirmatively alter the financial positions of the parties before any liability has been established. The salary request is particularly difficult to sustain as defendant's uncontested showing is that plaintiff has not provided services to Creekside since relocating to Texas over fifteen months ago and ordering salary payments before liability is established would alter the status quo rather than preserve it.

9. 9:00 AM CASE NUMBER: MSC18-01132
CASE NAME: SCHWENDEMAN VS. TRAVEL STAFF
***HEARING ON MOTION IN RE: COMPLIANCE HEARING SET BY THE COURTROOM (CONTINUED FROM 11.20.2025)**
FILED BY:
****TENTATIVE RULING:****

Based on the Supplemental the declaration of the Settlement Administrator, the Court concludes that the disbursement of PAGA Settlement Funds is complete and directs the administrator to release the remaining attorneys' fees.

Law & Motion
Add On

10. 9:00 AM CASE NUMBER: C25-02332
CASE NAME: DYNE WHITMORE VS. ANTIOCH UNIFIED SCHOOL DISTRICT,
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL FOR PLTF**
FILED BY: WHITMORE, DYNE SARAH
****TENTATIVE RULING:****

Counsel to appear.

The Court advanced this Motion to be Relieved as Counsel for Plaintiff so that it could be addressed early in the case, as Defendant has not yet been served. The Court is inclined to grant the motion, especially given the young age of the case. The Court is concerned, however, as it has not received proof that Plaintiff Dyne Whitmore has received notice of this Motion. The Court requires proof that Plaintiff Whitmore has been fully advised of all rights and risks relating to this Motion before granting it.

11. 9:00 AM CASE NUMBER: MSC21-02349
CASE NAME: TAYLOR VS. AMAZON
***HEARING ON MINOR'S COMPROMISE AS TO ROMEO CERNA**
FILED BY: CERNA, ROMEO
****TENTATIVE RULING:****

Summary

Petitioner Romeo Cerna by and through his Guardian Ad Litem Marcie Espinoza's Petition for Approval of Compromise of Minor Tristan Cerna's ("Minor") Claim Against Defendant Damien Sean Ross ("Petition"), filed on March 17, 2026, is granted, as set forth below.

Background

On October 14, 2022, Minor Romeo Cerna and others filed a complaint against Defendant Damien Sean Ross and others. The case was consolidated with another case involving the same series of events. The case involved a series of car accidents that ultimately led to the deaths of two individuals, one of whom was Minor Cerna's mother. Defendant Ross was one of the individuals who was involved in the car accidents, prior to the deaths. Minor Cerna was not present at the scene and alleges damages associated with the death of his mother.

At this time, Minor Cerna has settled his claims against Defendant Ross, subject to a pending Application for Determination of Good Faith Settlement, which was filed March 6, 2026. Petitioner has now filed a Petition through counsel Christopher Viadro, to compromise this particular claim. This Defendant offered settlement in the amount of $7,500 all of which is to be paid to Petitioner behalf of Minor to be placed into a blocked account. There are no deductions for fees, costs, or medical expenses. According to the Petition, fees and costs are being covered—at least in part—by other resolutions in this case. Petitioner prepared a proposed order to deposit funds into a blocked account for the benefit of the Minor.

Ruling

After careful examination of the Petition and proposed orders, the Court finds good cause to approve the Petition. Although the amount to resolve this particular claim is small, the Court is also aware of arguments regarding this Defendant's relative fault in the injuries sustained by the Minor. Accordingly, the **Petition is granted**. The Court will execute the Proposed Order Approving Compromise of Minor's Claim and the Proposed Order to Deposit Funds into a Blocked Account lodged on March 17, 2026. The approval of this petition is, however, conditioned upon a determination that the settlement has been made in good faith per CCP Section 877.6, which is expected to be finalized within a week of this order. Finally, the Court authorizes GAL Espinoza to sign the settlement release attached to the Petition as Attachment 10c.